



ANNUAL REPORT AND FINANCIAL STATEMENTS 2012

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Notice of Meeting



NOTICE IS HEREBY GIVEN that the Eighty Fifth Annual General Meeting of the Company will be held at Kenyatta International Conference Centre (KICC), the Amphitheatre, Harambee Avenue, Nairobi, on Wednesday, 5 December 2012 at 10.30 a.m. for the following purposes:-

ORDINARY BUSINESS

1. To read the notice convening the meeting.
2. To confirm the minutes of the Eighty Fourth Annual General Meeting held on 6 December 2011.
3. To receive the Chairman's report.
4. To receive and adopt the Consolidated Audited Financial Statements for the financial year ended 30 June 2012 together with the reports of the Directors and the Auditors thereon.
5. To consider and approve a first and final dividend of Kshs 0.75 per share for the year ended 30 June 2012 payable on or about 10 January 2013 to the shareholders on the Register of Members at the close of business on Wednesday, 5 December 2012 and to approve the closure of the Register of Members for one day from the close of business on Wednesday, 5 December 2012 to close of business on Thursday, 6 December 2012 for the purpose of processing the dividend.
6. Election of Directors:-
 - i) Mr Alan McKittrick retires in accordance with Articles 88 and 89 of the Company's Articles of Association and, being eligible, offers himself for re-election.
 - ii) Mr Andrew Stewart Ndegwa retires in accordance with Articles 88 and 89 of the Company's Articles of Association and, being eligible, offers himself for re-election.
7. To approve the Directors' remuneration as shown in the Financial Statements for the year ended 30 June 2012.
8. To note that Messrs Deloitte & Touche continue in office as Auditors under the provisions of Section 159(2) of the Companies Act and to authorise the Directors to fix their remuneration for the ensuing financial year.

SPECIAL BUSINESS

9. AMENDMENT TO THE ARTICLES OF ASSOCIATION

To consider and, if thought fit, to pass the following as a special resolution;

A) That Article 139 be deleted in its entirety and replaced with the following new Article:-

139. A copy of every balance sheet (including every document required by law to be annexed thereto) which is to be laid before the Company in a general meeting, together with a copy of the Auditors' report, (the "Accounts") shall not less than twenty-one days before the date of the meeting be sent by post, or to the extent permissible by law otherwise made available by electronic means, to every Member of the Company and to every person registered under Articles 13(A) and 13(B). To the extent permissible by law, the Accounts may be sent by post or otherwise made available

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by electronic means and not by post. This Article shall not require a copy of the Accounts to be sent by post or to the extent permissible by law otherwise made available by electronic means to any person whose electronic or postal address the Company is not aware of, nor to more than the first named of any joint holders of any shares. To the extent permissible by law, the Company may send the Accounts to all persons entitled thereto by publishing the Accounts on the Company's official website and if available on the official website of the Nairobi Securities Exchange, provided that the Company shall publish an abridged set of the balance sheet and income statement in two daily newspapers with nationwide circulation drawing attention to the website(s) on which the Accounts in full may be read, and the address to which a request for a printed copy of the Accounts may be submitted. Upon any such publication, the Accounts shall be deemed to have been sent to every Member or other persons entitled to receive a copy of the Accounts.

B) That Article 142 be deleted in its entirety and replaced with the following new Article:-

142. Every notice or other document given by the Company shall be in writing. To the extent permissible by law, the Company may serve any notice to be given to its Members by:

- a) Publishing such notice in two daily newspapers with nationwide circulation; or
- b) Sending such notice through the post addressed to such Member at their registered postal address; or
- c) By facsimile transmission to such Member at their registered facsimile address; or
- d) By electronic mail to such Member at their registered electronic mail address.

Provided that where the Company elects to send such notice to such Member at their registered facsimile or electronic mail address, the Company shall ensure that such notice is also published in two daily newspapers with nationwide circulation.

Any notice which has been published in a daily newspaper in accordance with this provision shall be deemed to have been served at 9:00 a.m. on the next business day following the date when it was published.

Any notice sent by facsimile or electronic mail shall be deemed to have been served at 9:00 a.m. on the business day following the date when transmitted or sent.

In proving the giving of a notice, it shall be sufficient to prove that the notice was published in two daily papers of nationwide circulation, or that the envelope containing the notice was properly addressed, stamped and posted, or that the applicable means of telecommunication or electronic communication was properly addressed and transmitted, dispatched or sent.

Failure of any person or entity to receive any notice served shall not in any way invalidate any proceedings or actions taken by the Company for which the notice was given."

C) THAT Articles of the Company be amended by renumbering Article 129 to read 129 (a) and adding the following new Article 129 (b):-

129 "The Company may, if required by law, deliver or pay to any prescribed regulatory authority any

Notice of Meeting



unclaimed assets including but not limited to shares in the Company presumed to be abandoned or unclaimed in law and any dividends or interest thereon remaining unclaimed beyond the prescribed statutory periods. Upon such delivery or payment, the unclaimed assets shall cease to remain owing by the Company and the Company shall no longer be responsible to the owner or holder or his or her estate, for the relevant unclaimed assets."

D) THAT Article 130 be deleted in its entirety and replaced with the following new Article:-

130 "a) Any dividend or other money payable in cash on or in respect of shares may be paid by:-

- i) direct debit, bank transfer or other automated system of bank transfer, electronic or mobile money transfer system transmitted to such bank or electronic or mobile telephone address as shown in the share register of the Company or
 - ii) by cheque or warrant payable at such place of business as the Company shall specify in writing, sent by post to the address of the member or person entitled to it as shown in the share register of the Company or if two or more persons are registered as joint holders of the shares, to the registered address of the joint holder who is first named in the share register of the Company or in the case of two or more persons being entitled thereto in consequence of the death or bankruptcy of the holder, to any one of such persons at such address as the persons being entitled to receive payment may in writing direct.
- b) Every such cheque or warrant or funds transfer shall be made payable to or to the order of the person to whom it is sent or to such person who may be entitled to the same. Payment of the cheque or warrant, if purporting to be endorsed or enfaced, by the addressee or as the case may be, confirmation of payment having been made by the transmitting entity to the addressee of a direct debit, bank transfer or other automated system of bank transfer or via a mobile money transfer system, shall in each case be a good discharge to the Company. Every such payment whether by cheque or warrant or electronic funds transfer or mobile money payments system shall be sent at the risk of the person entitled to the money represented by it.

BY ORDER OF THE BOARD

Winniefred N Jumba
SECRETARY

2 November 2012

Notes:

1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote in his or her stead and a proxy need not be a member of the Company.
2. In the case of a member being a limited Company, this form must be completed under its common seal or under the hand of an officer or attorney duly authorised in writing.
3. To be valid, a form of proxy, which is provided with this report, must be duly completed by the member and must be lodged at the Company's Offices, Ngano House, Commercial Street, Industrial Area, P O Box

Notice of Meeting



30096, 00100-Nairobi, or posted in time to reach not later than 10.30 a.m. on 3 December 2012, in an envelope marked "AGM".

4. Subject to the shareholders' approval, the Register of Members will be closed from the close of business on Wednesday, 5 December 2012 at 4.30 p.m. for one day for the purpose of processing the dividend.
5. Please note that under the Unclaimed Financial Assets Act (No.40 of 2011, part II & III) all unclaimed dividends outstanding for a period of over three (3) years qualify to be classified as "Unclaimed Assets". Under the said Act, we have an obligation to pay all Unclaimed Assets to the Unclaimed Assets Authority (the "Authority") by 1 November 2012. Any shareholder with unpaid dividends should urgently contact our Share Registrars, Custody & Registrars Services Ltd, at the address indicated below:

Custody & Registrars Services Limited
6th Floor, Bruce House
Standard Street
P O Box 8484, 00100
Nairobi
Tel: (+254-020) 2230518/271/493/488
Mobil: 0726 971599 / 0737 095124
Fax: (+254-020) 2211773
Email: crs@candgroup.co.ke

We further give you notice that once the unclaimed dividends are paid to the Authority, we will not have any further obligation to you and you can only claim dividends directly from the Authority.

Directors' Profiles



Mrs Isabella Ochola-Wilson
- Non Exec (63).

Appointed to the Board in June 2006. She has a BA degree in Business Administration from University of Dar-es-Salaam and an MBA (Marketing) from University of British Columbia, Canada. She has

many years of management experience working for Johnson and Johnson (K) Limited. She has a directorship in NIC Bank Limited among others. She is currently a Business Consultant, having retired as a project Manager with DFID's Business Partnership Programme in 2005.



Andrew S Ndegwa - Non Exec (44)

Appointed to the Board in September 2001. He graduated from University of Oxford with a Bachelor of Arts (Hons) degree in Philosophy, Politics and Economics. He started his career in the banking industry, firstly with

Citibank Limited and then with Mercantile Banking Company Limited before moving to First Chartered Securities Limited where he is the Executive Director. He holds many other directorships among which are East African Breweries Limited and NIC Bank Limited.



Nicholas C Hutchinson - Exec (56)

Appointed to the Board in May 2003, having become the Group Managing Director of Unga Holdings Limited in September 2000. He holds a BSc (Hons) degree in Horticulture from the University of London and

has many years of business management experience working for Monsanto Company in East Africa, Europe, North America and South Asia.



Alan McKittrick - Non Exec (57)

Appointed to the Board in September 1998. An engineer by profession and Group Managing Director of NAS Holdings Limited for the past 17 years. He has other directorships and considerable experience in

Eastern and Southern Africa in the manufacturing and production sectors including the livestock industry. He was the Group's Managing Director between September 1998 and May 2003.



Vitalis O Ojode - Non Exec (67)

Appointed to the Board in May 2003. He is a BCom (Hons) graduate from University of Nairobi; a Fellow of the Association of Chartered Certified Accountants (FCCA) and is a member of ICPAK.

He worked for UDV Kenya Limited for many years where he held several directorships in the group both in Kenya and Tanzania. He was the Group's Finance Director between November 2001 and May 2006. He is currently a consultant in Financial Management.



Jinaro K Kibet - Non Exec (49)

Appointed to the Board in February 2005. He holds an LLB degree from University of Nairobi; is an Advocate of the High Court of Kenya and a partner in the Law firm of Ochieng, Onyango, Kibet and Ohaga- Advocates. He

holds other directorships including Elmarak Holdings Limited and Sicham Aviation Limited.

Directors' Profiles (continued)



Ms Winniefred N Jumba - Company Secretary (40)

Appointed Company Secretary in 2011. She is a holder of a BCom degree and a Masters in Business Administration, both from the University of Nairobi. She is a Certified Public Secretary and a member of ICPSK, with over 13 years experience in Company Secretarial and Registration Services.



Performance

In this financial year, the reassuring news is that turnover increased by 21%, although primarily due to inflation in commodity prices. However, profit before tax declined by 19%, despite substantial foreign exchange gains.

Based on our longer term perspective, we continue to invest in modernising and expanding our production capacities to enable future volume growth. An example of this is that of the Nairobi Feeds plant upgrade which was completed during the year and an additional production line which was installed at our packaging subsidiary. Furthermore, plans to upgrade our flour milling facilities are being progressed.

In spite of the depressed results, the Board is pleased to recommend the payment of a first and final dividend of Shs 0.75 per share, as we did last year, subject to approval by the shareholders at the Annual General Meeting to be held on 5 December, 2012.

Company

The Board is continually evaluating investment opportunities in new products with value addition targeted at existing and emerging markets, that fit with our resources and expertise. Coupled with this, we are constantly seeking improvements and ways to leverage our production and distribution processes.

In line with our belief that as you sow, so shall you reap, we are committed to CSR principles by working with needy and vulnerable groups in various income-generating projects to improve their livelihoods.

Future Outlook

As we look to the next two to three years, we anticipate that profits will continue to come under pressure as a consequence of continued inflationary increases in commodity prices, rising operational costs and unfavourable exchange rates. All this will make it difficult to recover lost margins in the near term and a challenge to improve upon them in the long term.

To address this situation realistically, and to ensure sustained growth and enhanced shareholder value, the Group is committed to:

- Adoption of innovative production and distribution processes, to gain necessary competitive advantage;
- Continued focus on the long-term goal of building its core business of milling and distributing superior quality human flour and animal nutrition products, through plant modernisation and increased market coverage;
- Constant investment in our people through training and development, linked with the adoption of best operational and management practices;
- Looking at Kenya and East Africa with an eye for new growth and investment opportunities. To this end, we continue to explore and evaluate value added partnership and acquisition opportunities to expand geographical coverage where there is a synergy based on our market knowledge, distribution leverage and respected product range.

Chairman's Statement



Appreciation

In conclusion, I wish to take this opportunity to convey my appreciation to my fellow directors for their support and diligence and to the management and staff for their hard work and dedication which made it possible to realise the good results.

I wish also, on behalf of my fellow directors, to recognise and appreciate the significant contributions made by Mr. Richard Kemoli, the long serving immediate past Chairman, and Mr. Jeremiah Kiereini, the equally long serving Director.

I Ochola- Wilson (Mrs)
Chairman

Group Managing Director's Report



Industry and Performance

The financial year was adversely affected by shortages of locally sourced raw materials, which resulted in higher prices. In addition, international commodity prices continued to increase sharply. These factors, along with weak local currencies, led to higher input prices which in turn led to depressed consumer demand, particularly in the animal nutrition and health sector.

Turnover increased by 21% due primarily to commodity price inflation, with revenue growth being experienced in all sectors. However, gross profit declined by 15%, due to increases in raw material prices, all of which could not be passed onto the consumers.

Profit before tax decreased by 19% to Shs 513 million (2011 Shs 631 million), despite substantial foreign exchange gains. Nevertheless, the company's Balance Sheet continues to strengthen and net current assets increased by 8% over prior year.

Sector Performance

Consumer

Wheat

While wheat volumes remained flat, revenue increased due to commodity price inflation. Increases in raw material prices negatively impacted our margins.

Maize

Volume growth was realised through competitive pricing and a World Food Programme supply contract. However, our margins continued to be depressed as a result of higher commodity prices and competitive pricing pressure from regional (rather than national) orientated millers.

Other

Our range of porridges performed well, with improved volumes and enhanced margins.

The Uganda business suffered volume decline caused by high finished product prices coupled with increasingly more aggressive competition.

Animal Nutrition and Health

Total animal feed volumes were down, driven largely by reduced sales of poultry feeds caused by the high prices for raw materials, compounded by uneconomic market prices for eggs and broiler meat.

Cattle feed and cattle minerals, along with the animal health product range, grew volumes and realised stronger margins.

The Nairobi Feeds plant upgrade was commissioned in March 2012; the expanded capacity will facilitate volume growth, improve production efficiencies and strengthen our product quality.

Towards the end of the year, we introduced the Fugo® brand for the feeds portfolio and upgraded the packaging to enhance our product positioning, as well as assist in reducing counterfeits.

Group Managing Director's Report (continued)

Our plants remain the only HACCP (Hazard Analysis and Critical Control Points) certified production facilities in the region.

Packaging

Organic volume growth, made possible by a new production line commissioned in August 2011, was realised through a more diversified customer base and the securing of new customers.

Margins were, however, negatively impacted by increases in paper costs driven by a weaker local currency which, due to competitive pricing pressure, could not be passed onto the customers.

Human Capital and People Development

Employees play a critical role in the Group's performance and growth. We are committed to ensuring that our people are equipped with the necessary knowledge and competency through continued training and development. During the year, one significant new programme was started in support of our continual improvement (PaTaMu) journey.

The adoption of the Hoshin Kanri (HK) policy deployment and performance management process will ensure that our strategic objectives drive aligned continual improvement projects and action at every level within the organisation. The deployment phase has been completed at all sites, with positive feedback.

Future Outlook

Looking ahead, our experience and insight suggests there will be continued inflationary pressures on commodity prices and processing costs. These coupled with the impact of weak local currencies and the continuing entry of small millers will make it difficult to regain lost margins in the near term.

Conclusion

We will continue our focus on improving shareholder value through enhanced market coverage and an expanded product range.

My gratitude and appreciation to the Board, the Management team and Staff who worked tirelessly, under unfavourable economic conditions, to achieve the positive results.



N Hutchinson
Group Managing Director

Committed to the highest standard of corporate governance, Unga Group complies fully with all requirements of a publicly listed company, including clarity of financial reporting and shareholder accountability. Our policy is to set best practice standards in product and service quality, combined with fair conduct towards our employees, suppliers and customers.

Recognising its responsibilities of good citizenship in national and international communities, Unga Group concentrates particularly on issues of social welfare, environmental care and principles of integrity.

Composition of the Board

The Board consists of the Chairman, who is independent and has no executive responsibilities, one executive and four non-executive directors. More than one third of the directors are both independent and non-executive; one third retires by rotation each year but is eligible for re-election.

Mr R. Kemoli (former Chairman) resigned on 3rd August 2012. Following a directive from the Capital Markets Authority Mr J. Kiereini ceased being a director on the same date.

Mrs Isabella Ochola-Wilson was elected Chairman on 27th September 2012.

Collectively, the directors possess a broad range of leading edge skills and competencies, covering the areas of legal, finance, banking, operations and management. The directors' profiles appear on pages 6 and 7 of this Annual Report.

Role of the Board

The responsibility of the Board is to hold the Group's long-term vision, set broad goals, plans and organisational policies to uphold it, and offer guidance on strategic decisions and actions of management. It ensures compliance with auditing and accounting standards, and is also tasked with the management of risk, through overseeing the implementation of adequate control systems.

Other Board Information

The roles of the Chairman and Chief Executive are clearly separated, to ensure true accountability of management to shareholders through the Board, in parallel with equally clearly defined autonomy and authority of management in the day-to-day operation of the Group. Directors are kept fully informed of all company activities through both regular and special event reports.

Board Meetings

The Unga Group Board has four scheduled meetings per year and stands ready for additional meetings on any specific or urgent matters. In the period under review, it met four times.

Board Committees

Under its mandate to establish appropriate committees for technical or other specialised issues, the Board currently operates an Audit and Risk Committee and a Nominating and Remuneration Committee.

Corporate Governance (continued)



Audit and Risk Committee

The Audit and Risk Committee has the primary function to assist the Board in fulfilling its oversight responsibilities for the integrity of the Group's financial statements, compliance with legal and regulatory requirements, corporate governance, risk management and performance of the internal audit function and that of the independent auditors.

Up to 3rd August 2012, the committee consisted of three members, all of whom were independent non-executive directors. It was chaired by Mr J. Kiereini and the other members were Mr J. Kibet and Mr A. Ndegwa. The membership is in the process of being reconstituted following the departure of Mr J. Kiereini.

It met four times during the year to review internal risk assessments and statutory compliance requirements. In this period it gave management approval to put in place a Group-wide process to be used in identifying, evaluating and managing risks.

Nominating and Remuneration Committee

The Nominating and Remuneration Committee has the mandates to review succession planning within the Board, identify and nominate for the approval of the Board, suitable candidates to fill Board vacancies as and when they arise. In addition, it reviews and approves the remuneration for the non-executive directors.

It is currently composed of Mr J. Kibet (Chairman) and Mr A. Ndegwa, who are independent non-executive directors. It is in the process of being reconstituted to fill the vacancies created by the departure of Messrs R. Kemoli and J. Kiereini who were its members up to 3rd August 2012.

While the committee did not meet during the year, the Board met and approved new policies for remuneration of non-executive directors to ensure that, in order to attract and retain directors with the right competencies and commitment, the directors' remuneration is in line with those for directors in competing sectors.

The quantum for the financial year ended 30th June 2012 is disclosed in Note 5 of the Financial Statements.

Communication

The Board receives management reports in advance of all scheduled meetings and as necessary at other times. It issues an Annual Report and Financial Statements to all shareholders and other interested parties, and keeps the public advised through half-yearly and annual press notices of results and any significant developments. Shareholders have direct access to the company in line with conventional business practices.

Directors' Benefits and Loans

In the year under review, Directors have received no benefits other than fees and no loans to directors have been advanced.

Corporate Governance (continued)



Directors' Interest

The interest of the Directors in the shares of the Company as at 30th June 2012 were as follows:

Name	No. of shares
Alan McKittrick	13,472

There were no material contracts involving directors' interests during the year.

The ten largest shareholdings in the company and the respective number of shares at 30th June 2012 are as follows:

Name	No. of shares	% shareholding
1. Victus Limited	38,557,190	50.93
2. Moses Thara	3,808,117	5.03
3. Standard Chartered Nominees Ltd- non Res A/c 9924	1,451,200	1.92
4. Alimohamed Adam	1,047,342	1.38
5. Kingsway Nominees Limited	1,043,254	1.38
6. Savitaben Velji Raichand Shah	745,677	0.98
7. Lawrence Gatitu Mbugua	623,775	0.82
8. Shah D Premchand & Premchand D F Shah	497,356	0.66
9. Paul Wanderi Ndungu	341,280	0.45
10. Stanbic Nominees Kenya Ltd. A/c R 48701	325,704	0.43
Total number of shares	48,440,895	63.98

Distribution of shareholders

(a) By number of shares range

Range	No of Shareholders	No of Shares	% of shareholding
1-500 shares	3,924	713,809	0.94
501-5,000	3,269	5,814,533	7.68
5,001-10,000	562	3,913,859	5.17
10,001-100,000	477	11,559,500	15.27
100,001-1,000,000	44	7,798,182	10.30
1,000,001 and above	5	45,907,103	60.64
Total	8,281	75,706,986	100.00

Corporate Governance (continued)



Distribution of shareholders (continued)

(b) By category of shareholders

Category	No. of shareholders	No. of shares	% shareholding
Individual local investors	7,743	29,823,921	39.39
Institutional local investors	286	42,818,053	56.56
Foreign investors	252	3,065,012	4.05
Total	8,281	75,706,986	100.00

I Ochola-Wilson (Mrs)
Director

27 September 2012

N Hutchinson
Director

27 September 2012

CMA-LIBRARY

Unga Group's corporate social responsibility operates at various levels. To start with it begins at home, by doing what we know best, where for more than a century we have focused on continually strengthening our core business of grain milling and flour distribution to our customers. In the process we have built strong and prosperous "win win" relationships with our suppliers and business partners. In this way we are contributing to the growth of the national economies we work in and, at the local level, raising household incomes for our staff and farmer partners. Additionally we have an obligation to help our employees prosper by providing a great place for them to work and realise their career aspirations.

In the communities where we operate, Unga Group Limited takes its responsibilities seriously. We do so through assistance from company staff by way of, for instance:

- Identifying and initiating sustainable income generating projects for the vulnerable and needy people, particularly those suffering from HIV/Aids;
- Participating in environmental enhancement through tree planting and clean-ups;
- Setting up of scholarship programmes for needy and deserving pupils;
- Counselling and mentoring.

Ongoing

The progress of ongoing projects is continually monitored and improvements thereon implemented. In 2012, staff continued to supervise and participate in the following projects:

- Passion fruit and poultry farming in Turbo by Besiobor Kamangunet Women Group
- Poultry farming at Nile Road School;
- Scholarship programmes at Naguru Children's Home in Kampala and Uasin Gishu High School in Eldoret;
- Environmental clean ups at Nakawa Market in Kampala and Land Mawe Estate in Nairobi.



Best Student performance awards at Kirigiti Reform School, Kiambu.

New Projects

Staff in Kampala identified Good Choice Primary School with whom they partnered to promote the importance of keeping the environment clean and practicing good personal hygiene, which involved:

- Training both teachers and pupils on first aid and emergency evacuation procedures;

Corporate Social Responsibility (continued)

- Donating fire extinguishers and hand washing cans; and
- Planting trees.



Personal safety and hygiene training at Good Choice Primary School, Kampala.

Staff in Eldoret identified a community in Kidiwa Estate that needed an HIV/Aids awareness campaign. A VCT camp was set-up which screened 100 people while the common ground areas were cleaned-up.



VCT service and clean-up at Kidiwa Estate, Eldoret.

At Nakuru West Secondary School, staff carried out a project to promote safety, health and environmental awareness among the students and teachers.

In the Eastlands area of Nairobi, a new project was started with Nile Road School which involved helping the school of about 100 students with special needs to set-up a rabbit farming project.

GOING FORWARD

Employees have demonstrated their willingness to participate in CSR initiatives. We will now be asking each site to identify a public girls or mixed secondary school with whom they can partner over at least the next three years in implementing a number of safety, health, environment and PaTaMu housekeeping programs, along with a sustainable income generating project.

Five Year Financial Review (Summary)



	2008 Shs'000	2009 Shs'000	2010 Shs'000	2011 Shs'000	2012 Shs'000
CONSOLIDATED INCOME STATEMENT					
Turnover	9,450,824	11,643,639	11,524,454	13,214,442	15,976,763
Operating Profit	647,785	300,334	351,614	643,342	523,160
Profit Before Taxation	564,016	260,439	335,101	631,070	512,569
Taxation Charge	(190,355)	(75,247)	(98,928)	(190,027)	(164,374)
Profit For the Year	373,661	185,192	236,173	441,043	348,195
Earnings Per Share - basic & diluted	Shs 3.06	Shs 1.55	Shs 1.81	Shs 3.57	Shs 2.81
	=====	=====	=====	=====	=====
CONSOLIDATED STATEMENT OF FINANCIAL POSITION					
ASSETS					
Non-current Assets	1,823,246	1,732,684	1,644,583	1,622,280	1,765,368
Current Assets	2,938,282	3,832,857	3,419,837	4,086,617	4,644,891
Total Assets	4,761,528	5,565,541	5,064,420	5,708,897	6,410,259
	=====	=====	=====	=====	=====
EQUITY AND LIABILITIES					
Capital and reserves					
Share Capital and premium	388,602	451,683	451,683	451,683	451,683
Reserves	1,656,459	1,715,291	1,848,086	2,078,952	2,224,082
Equity attributable to equity holders of the parent	2,045,061	2,166,974	2,299,769	2,530,635	2,675,765
Non-controlling interests	918,985	979,413	1,064,934	1,214,316	1,313,453
Total Equity	2,964,046	3,146,387	3,364,703	3,744,951	3,989,218
	=====	=====	=====	=====	=====
Non-current liabilities	263,995	334,142	355,354	345,150	453,088
Current liabilities	1,533,487	2,085,012	1,344,363	1,618,796	1,967,953
	1,797,482	2,419,154	1,699,717	1,963,946	2,421,041
	=====	=====	=====	=====	=====
Total equity and liabilities	4,761,528	5,565,541	5,064,420	5,708,897	6,410,259
	=====	=====	=====	=====	=====

Corporate Information



DIRECTORS

I Ochola-Wilson (Mrs)	-	Chairman
N C Hutchinson*	-	Group Managing Director
A McKittrick		
A S M Ndegwa	-	(Alternate - J P M Ndegwa)
V O Ojode		
J K Kibet		

*British

SECRETARY

Ms Winniefred N Jumba
Certified Public Secretary (Kenya)
Livingstone Associates
Deloitte Place, Waiyaki Way, Muthangari
P O Box 30029, 00100
Nairobi

REGISTERED OFFICE

Plot No.209/6841
Ngano House, Commercial Street
Industrial Area
P O Box 30096, 00100
Nairobi
Tel. +254 (020) 3933000

REGISTRARS

Custody & Registrars Services Limited
6th Floor, Bruce House
Standard Street
P O Box 8484, 00100
Nairobi

AUDITORS

Deloitte & Touche
Certified Public Accountants (Kenya)
Deloitte Place, Waiyaki Way, Muthangari
P O Box 40092, 00100
Nairobi

BANKERS

Barclays Bank of Kenya Limited
The West End, Waiyaki Way
P O Box 30120, 00100
Nairobi

ADVOCATES

Kaplan & Stratton
Williamson House
4th Ngong Avenue
P O Box 40111, 00100
Nairobi

Report of the Directors



The directors present their report together with the audited financial statements of the group for the year ended 30 June 2012.

Activities

The company operates as a holding company. The principal activities of the group continue to be the milling of wheat and maize, the manufacture of packaging materials and animal nutrition products, and the distribution of animal health products.

	2012 Shs'000	2011 Shs'000
Group Results		
Profit before taxation	512,569	631,070
Taxation charge	(164,374)	(190,027)
Profit for the year	<u>348,195</u> =====	<u>441,043</u> =====
Attributable to:		
Equity holders of the parent	212,683	270,382
Non - controlling interests	<u>135,512</u> =====	<u>170,661</u> =====
	348,195	441,043

Dividend

The directors recommend the payment of a first and final dividend of Shs 0.75 (2011 – Shs 0.75) per share amounting to Shs 56,780,240 (2011: Shs 56,780,240) in respect of the financial year. The dividend is subject to approval by the shareholders at the next Annual General Meeting.

Directors

The present board of directors is shown on page 19.

R. Kemoli resigned from the board of directors on 3 August 2012. J. G. Kiereini ceased being a director on 3 August 2012.

Mr A. S. M. Ndegwa and Mr A. McKittrick retire in accordance with Articles 88 and 89 of the Company's Articles of Association and, being eligible, offers themselves for re-election.

Auditors

Deloitte & Touche, having confirmed their willingness, continue in office in accordance with section 159 (2) of the Companies Act.

By Order of the Board

Winniefred N Jumba
Secretary

27 September 2012
Nairobi

Statement of Directors' Responsibilities



The Kenyan Companies Act requires the directors to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the company and its subsidiaries as at the end of the financial year and of the operating results of the group for that year. It also requires the directors to ensure that the company and its subsidiaries keep proper accounting records which disclose with reasonable accuracy at any time the financial position of the group. They are also responsible for safeguarding the assets of the group.

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and its subsidiaries' and of the group's operating results. The directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain going concerns for at least the next twelve months from the date of this statement.

I Ochola-Wilson (Mrs)
Director

N Hutchinson
Director

27 September 2012

Independent Auditors' Report to the Members of Unga Group Limited

Report on the Financial Statements

We have audited the accompanying financial statements of Unga Group Limited and its subsidiaries, set out on pages 23 to 66 which comprise the consolidated and company statements of financial position as at 30 June 2012, and the consolidated statement of comprehensive income, consolidated and company statements of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' Responsibility for the Financial Statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, and for such internal controls as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an independent opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we considered the internal controls relevant to the entity's preparation of financial statements that give a true and fair view in order to design audit procedures that were appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal controls. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the state of financial affairs of the company and its subsidiaries as at 30 June 2012, and of their financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Report on Other Legal Requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- iii) the company's statement of financial position (balance sheet) is in agreement with the books of account.

Deloitte & Touche

Certified Public Accountants (Kenya)

27 September 2012

Partners: S.O. Onyango F.O. Aloo H. Gadhoke* N.R. Hira* B.W. Irungu J.M. Kiarie D.M. Mbogho A.N. Muraya J. Nyang'aya J.W. Wangai
* British

Member of Deloitte Touche Tohmatsu

Consolidated Statement of Comprehensive Income For the Year Ended 30 June 2012



	Notes	2012 Shs'000	2011 Shs'000
Turnover		15,976,763	13,214,442
Cost of Sales		(14,607,072)	(11,594,019)
Gross Profit		1,369,691	1,620,423
Other Operating Income		103,232	85,005
Distribution Costs		(400,108)	(304,596)
Administrative Expenses		(688,938)	(574,315)
Net Foreign Exchange Gains (Losses)		139,283	(183,175)
Finance Costs	4	(10,591)	(12,272)
Profit Before Taxation	5	512,569	631,070
Taxation Charge	7(a)	(164,374)	(190,027)
Profit for the Year	8	348,195	441,043
Other Comprehensive Income			
Exchange Differences on Translation of Foreign Operations		(16,574)	(2,559)
Total Comprehensive Income for the Year		331,621	438,484
Profit for the year attributable to:			
Equity holders of the parent		212,683	270,382
Non-controlling interests	23	135,512	170,661
		348,195	441,043
Total comprehensive income for the year			
Attributable to:			
Equity holders of the parent		201,910	268,719
Non-controlling interests	23	129,711	169,765
		331,621	438,484
Earnings per share – basic & diluted	9	Sh 2.81	Sh 3.57

Consolidated Statement of Financial Position

30 June 2012



	Notes	2012 Shs'000	2011 Shs'000
ASSETS			
Non-current assets			
Property, plant and equipment	11	1,633,333	1,496,184
Prepaid operating lease rentals	12	37,813	40,437
Intangible assets	13	5,672	6,444
Retirement benefits asset	15	45,000	63,800
Deferred taxation	16	43,550	15,415
		<u>1,765,368</u>	<u>1,622,280</u>
Current assets			
Inventories	17	2,115,489	1,926,221
Trade and other receivables	18	1,748,593	1,089,749
Taxation recoverable	7(c)	132,290	6,584
Term deposits	20	280,000	349,500
Cash and bank balances	29(b)	364,591	710,635
		<u>4,640,963</u>	<u>4,082,689</u>
Non-current assets classified as held for sale	21	3,928	3,928
		<u>4,644,891</u>	<u>4,086,617</u>
Total assets		6,410,259	5,708,897
EQUITY AND LIABILITIES		=====	=====
Capital and reserves			
Share capital	22	378,535	378,535
Share premium		73,148	73,148
Revaluation reserve		670,898	689,208
Translation reserve		(5,221)	5,552
Revenue reserve		1,558,405	1,384,192
Equity attributable to equity holders of the parent		<u>2,675,765</u>	<u>2,530,635</u>
Non-controlling interests	23	1,313,453	1,214,316
Total equity		<u>3,989,218</u>	<u>3,744,951</u>
Non-current liabilities			
Deferred taxation	16	388,347	276,764
Service gratuity	24	64,741	60,952
Due to related companies	28	-	7,434
		<u>453,088</u>	<u>345,150</u>
Current liabilities			
Trade and other payables	26	1,174,553	696,027
Unclaimed dividends	27	21,482	21,482
Due to related companies	28	761,463	819,863
Taxation payable	7(c)	10,455	81,424
		<u>1,967,953</u>	<u>1,618,796</u>
Total equity and liabilities		6,410,259	5,708,897
		=====	=====

The financial statements on pages 23 to 66 were approved by the board of directors on 27 September 2012 and were signed on its behalf by:

I Ochola-Wilson (Mrs)
Director

N Hutchinson
Director

Company Statement of Financial Position

30 June 2012



	Notes	2012 Shs'000	2011 Shs'000
ASSETS			
Non current assets			
Investment in subsidiary company	14	1,297,335	1,297,335
Deferred taxation	16	1,251	-
		<u>1,298,586</u>	<u>1,297,335</u>
Current assets			
Receivables	18	2,518	1,699
Due from subsidiary companies	19(a)	13,477	24,550
Taxation recoverable	7(d)	10,203	1,854
Term deposits	20	280,000	249,500
Bank balance		1,805	487
		<u>308,003</u>	<u>278,090</u>
Total assets		<u>1,606,589</u>	<u>1,575,425</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	22	378,535	378,535
Share premium		73,148	73,148
Revenue reserve		997,132	998,390
		<u>1,448,815</u>	<u>1,450,073</u>
Current liabilities			
Due to subsidiary company	19(b)	142,757	118,597
Payables	26	15,017	6,755
		<u>157,774</u>	<u>125,352</u>
Total equity and liabilities		<u>1,606,589</u>	<u>1,575,425</u>

The financial statements on pages 23 to 66 were approved by the board of directors on 27 September 2012 and were signed on its behalf by:


I Ochola-Wilson (Mrs)
 Director


N Hutchinson
 Director

Consolidated Statement of Changes in Equity For the Year Ended 30 June 2012



	Share capital Sh'000	Share premium Sh'000	Revaluation reserve Sh'000	Translation reserve Sh'000	Revenue reserve Sh'000	Due to to equity holders of parent Sh'000	Non- controlling interests Sh'000	Total Sh'000
At 1 July 2010	378,535	73,148	715,018	7,215	1,125,853	2,299,769	1,064,934	3,364,703
Profit for the year	-	-	-	-	270,382	270,382	170,661	441,043
Other comprehensive income for the year	-	-	-	(1,663)	-	(1,663)	(896)	(2,559)
Total comprehensive income for the year	-	-	-	(1,663)	270,382	268,719	169,765	438,484
Transfer of excess depreciation	-	-	(33,460)	-	33,460	-	-	-
Deferred tax on excess depreciation	-	-	10,022	-	(10,022)	-	-	-
Surplus realised on disposal of revalued assets	-	-	(3,388)	-	3,388	-	-	-
Deferred tax on revaluation surplus realised on disposal of revalued assets	-	-	1,016	-	(1,016)	-	-	-
Dividend paid to shareholders	-	-	-	-	(37,853)	(37,853)	-	(37,853)
Dividend paid to non controlling interests	-	-	-	-	-	-	(20,383)	(20,383)
At 30 June 2011	378,535	73,148	689,208	5,552	1,384,192	2,530,635	1,214,316	3,744,951
At 1 July 2012	378,535	73,148	689,208	5,552	1,384,192	2,530,635	1,214,316	3,744,951
Profit for the year	-	-	-	-	212,683	212,683	135,512	348,195
Other comprehensive loss for the year	-	-	-	(10,773)	-	(10,773)	(5,801)	(16,574)
Total comprehensive income for the year	-	-	-	(10,773)	212,683	201,910	129,711	331,621
Transfer of excess depreciation	-	-	(24,905)	-	24,905	-	-	-
Deferred taxation on excess depreciation	-	-	7,472	-	(7,472)	-	-	-
Surplus realised on disposal of revalued assets	-	-	(1,253)	-	1,253	-	-	-
Deferred tax on revaluation surplus realised on disposal of revalued assets	-	-	376	-	(376)	-	-	-
Dividend paid to shareholders	-	-	-	-	(56,780)	(56,780)	-	(56,780)
Dividend paid to non - controlling interests	-	-	-	-	-	-	(30,574)	(30,574)
At 30 June 2012	378,535	73,148	670,898	(5,221)	1,558,405	2,675,765	1,313,453	3,989,218

The revaluation surplus represents the surplus arising from the revaluation of property, plant and equipment and is not distributable. The translation reserve represents translation differences arising from translation of the foreign subsidiary held by the company. The revenue reserve represents accumulated profit from the normal operations of the group.

Company Statement of Changes in Equity For the Year Ended 30 June 2012



	Share capital Shs'000	Share premium Shs'000	Revenue reserve Shs'000	Total Shs'000
At 1 July 2010	378,535	73,148	998,346	1,450,029
Profit for the year	-	-	37,897	37,897
Other comprehensive income for the year	-	-	-	-
Total comprehensive income for the year	-	-	37,897	37,897
Dividends paid to shareholders - 2010	-	-	(37,853)	(37,853)
At 30 June 2011	378,535 =====	73,148 =====	998,390 =====	1,450,073 =====
At 1 July 2011	378,535	73,148	998,390	1,450,073
Profit for the year	-	-	55,522	55,522
Other comprehensive income for the year	-	-	-	-
Total comprehensive income for the year	-	-	55,522	55,522
Dividends paid to shareholders - 2011	-	-	(56,780)	(56,780)
At 30 June 2012	378,535 =====	73,148 =====	997,132 =====	1,448,815 =====

Consolidated Statement of Cash Flows

For the Year Ended 30 June 2012



	Notes	2012 Shs'000	2011 Shs'000
Cash Flows from Operating Activities			
Cash generated from operations	29(a)	218,807	741,268
Taxation paid	7(c)	(275,696)	(145,533)
Net cash (used in)/generated from operating activities		(56,889)	595,735
Cash Flows From Investing Activities			
Purchase of property, plant and equipment	11	(283,692)	(104,409)
Purchase of intangible assets	13	(2,051)	(7,080)
Proceeds of disposal of property, plant and equipment		15,684	5,857
Proceeds of disposal of properties held for sale		-	294
Investment in term deposit		(30,500)	(180,000)
Net cash used in investing activities		(300,559)	(285,338)
Cash Flows from Financing Activities			
Dividends paid to non - controlling interests	23	(30,574)	(20,383)
Dividends paid to shareholders	27	(56,780)	(37,853)
Net cash used in financing activities		(87,354)	(58,236)
(Decrease)/Increase in Cash and Cash Equivalents		(444,802)	252,161
Cash and Cash Equivalents at beginning of year		810,635	559,541
Exchange adjustment		(1,242)	(1,067)
Cash and Cash Equivalents at end of year	29(b)	364,591	810,635
		=====	=====

Notes to the Financial Statements For the Year Ended 30 June 2012



1 ACCOUNTING POLICIES

Statement of compliance

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS).

For the Kenyan Companies Act reporting purposes, in these financial statements, the balance sheet is represented by/equivalent to the statement of financial position and the profit and loss account is presented in the statement of comprehensive income.

Application of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC)

(a) Relevant new standards and amendments to published standards effective for the year ended 30 June 2012

The following new and revised IFRSs were effective in the current year and had no material impact on the amounts reported in these financial statements.

Amendments to IAS 1 Presentation of Financial Statements (as part of Improvements to IFRSs issued in 2010)	The amendments to IAS 1 clarify that an entity may choose to disclose an analysis of other comprehensive income by item in the statement of changes in equity or in the notes to the financial statements. The group continued to disclose such items in the statement of changes in equity and the amendment had no effect on the group's financial statements.
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IAS 24, Related Party Disclosures (as revised in 2010)	IAS 24 (as revised in 2010) has been revised on the following two aspects: (a) IAS 24 (as revised in 2010) has changed the definition of a related party and (b) IAS 24 (as revised in 2010) introduces a partial exemption from the disclosure requirements for government-related entities.
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The group is not a government-related entity. The application of the revised definition of related party set out in IAS 24 (as revised in 2010) in the current year has not resulted in the identification of related parties that were not identified as related parties under the previous Standard.

Amendments to IAS 32 Classification of Rights Issues	The amendments address the classification of certain rights issues denominated in a foreign currency as either equity instruments or as financial liabilities. Under the amendments, rights, options or warrants issued by an entity for the holders to acquire a fixed number of the entity's equity instruments for a fixed amount of any currency are classified as equity instruments in the financial statements of the entity provided that the offer is made pro rata to all of its existing owners of the same class of its non-derivative equity instruments. Before the amendments to IAS 32, rights, options or warrants to acquire a fixed number of an entity's equity instruments for a fixed amount in foreign currency were classified as derivatives. The amendments require retrospective application.
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The application of the amendments has had no effect on the amounts reported in the current and prior years because the group has not issued instruments of this nature.

1. Accounting Policies (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (continued)

(i) *Relevant new standards and amendments to published standards effective for the year ended 30 June 2012 (continued)*

Amendments to IFRIC 14 Prepayments of a Minimum Funding Requirement	IFRIC 14 addresses when refunds or reductions in future contributions should be regarded as available in accordance with paragraph 58 of IAS 19; how minimum funding requirements might affect the availability of reductions in future contributions; and when minimum funding requirements might give rise to a liability. The amendments now allow recognition of an asset in the form of prepaid minimum funding contributions.
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The application of the amendments had no effect on the group's financial statements.

Improvements to IFRSs issued in 2010	The application of Improvements to IFRSs issued in 2010 has not had any material effect on amounts reported in the group's financial statements.
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(ii) *Relevant new and amended standards and interpretations in issue but not yet effective in the year ended 30 June 2012*

	Effective for annual periods beginning on or after
IFRS 7, Financial Instruments: Disclosures – Amendments enhancing disclosures about offsetting financial assets and financial liabilities	1 January 2013
IFRS 9, Financial Instruments – Classification and Measurement of financial assets	1 January 2015
IFRS 9, Financial Instruments – Accounting for financial liabilities and derecognition	1 January 2015
IFRS 10, Consolidated Financial Statements	1 January 2013
IFRS 11, Joint Arrangements	1 January 2013
IFRS 12, Disclosure of Interests in Other Entities	1 January 2013
IFRS 13, Fair Value Measurement	1 January 2013
IAS 1, Presentation of Financial Statements – presentation of items of other comprehensive income	1 July 2012
IAS 19 Employee Benefits (2011) - Revised requirements for pensions and other post-retirement benefits, termination benefits and other changes.	1 January 2013
IAS 27, Separate Financial Statements (2011)	1 January 2013
IAS 28, Investments in Associates and Joint Ventures (2011)	1 January 2013
IAS 32, Financial Instruments: Presentation – Amendments to application guidance on the offsetting of financial assets and financial liabilities	1 January 2014

1. Accounting Policies (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (continued)

(iii) *Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 30 June 2012 and future annual periods*

IFRS 9, Financial Instruments

IFRS 9 Financial Instruments amended in October 2010 and reissued in November 2010 introduces new requirements for the classification and measurement of financial assets and financial liabilities and for de-recognition.

IFRS 9 requires all recognised financial assets that are within the scope of IAS 39 Financial Instruments: Recognition and Measurement to be subsequently measured at amortised cost or fair value. Specifically, debt investments that are held within a business model whose objective is to collect the contractual cash flows, and that have contractual cash flows that are solely payments of principal and interest on the principal outstanding are generally measured at amortised cost at the end of subsequent accounting periods. All other debt investments and equity investments are measured at their fair values at the end of subsequent accounting periods.

The most significant effect of IFRS 9 regarding the classification and measurement of financial liabilities relates to the accounting for changes in fair value of a financial liability (designated as at fair value through profit or loss) attributable to changes in the credit risk of that liability. Specifically, under IFRS 9, for financial liabilities that are designated as at fair value through profit or loss, the amount of change in the fair value of the financial liability that is attributable to changes in the credit risk of that liability is recognised in other comprehensive income, unless the recognition of the effects of changes in the liability's credit risk in other comprehensive income would create or enlarge an accounting mismatch in profit or loss. Changes in fair value attributable to a financial liability's credit risk are not subsequently reclassified to profit or loss. Previously, under IAS 39, the entire amount of the change in the fair value of the financial liability designated as at fair value through profit or loss was recognised in profit or loss.

IFRS 9 is effective for annual periods beginning on or after 1 January 2015, with earlier application permitted. The directors anticipate that IFRS 9 will be adopted in the group's financial statements for the annual period beginning 1 January 2015 and that the application of IFRS 9 may have a significant impact on amounts reported in respect of the group's financial assets and financial liabilities (e.g the group will classify financial assets as subsequently measured at either amortised cost or fair value). However, it is not practicable to provide a reasonable estimate of that effect until a detailed review is done.

IFRS 10 Consolidated financial statements

IFRS 10 requires a parent to present consolidated financial statements as those of a single economic entity, replacing the requirements previously contained in IAS 27 'Consolidated and Separate Financial Statements' and SIC-12 'Consolidation - Special Purpose Entities'.

1 Accounting Policies (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (continued)

(iii) *Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 30 June 2012 and future annual periods (continued)*

IFRS 10 Consolidated financial statements (continued)

The standard identifies the principles of control, determines how to identify whether an investor controls an investee and therefore must consolidate the investee, and sets out the principles for the preparation of consolidated financial statements. The Standard introduces a single consolidation model for all entities based on control, irrespective of the nature of the investee (i.e. whether an entity is controlled through voting rights of investors or through other contractual arrangements as is common in 'special purpose entities'). Under IFRS 10, control is based on whether an investor has:

- power over the investee
- exposure, or rights, to variable returns from its involvement with the investee, and
- the ability to use its power over the investee to affect the amount of the returns.

The directors anticipate that the adoption of this new standard will not materially affect the amounts reported in the financial statements.

IFRS 11, Joint Arrangements

IFRS 11 replaces IAS 31 Interests in Joint Ventures. IFRS 11 deals with how a joint arrangement of which two or more parties have joint control should be classified. SIC-13 Jointly Controlled Entities – Non-monetary Contributions by Venturers has been withdrawn upon the issuance of IFRS 11. Under IFRS 11, joint arrangements are classified as joint operations or joint ventures, depending on the rights and obligations of the parties to the arrangements. In contrast, under IAS 31, there are three types of joint arrangements: jointly controlled entities, jointly controlled assets and jointly controlled operations.

In addition, joint ventures under IFRS 11 are required to be accounted for using the equity method of accounting, whereas jointly controlled entities under IAS 31 can be accounted for using the equity method of accounting or proportionate accounting.

The standard is effective for annual periods beginning on or after 1 January 2013. The group will apply this amendment prospectively. The directors anticipate that the adoption of this new standard will not materially affect the amounts reported in the financial statements. However, the group will apply this standard to any such arrangements entered into in the course of operations.

IFRS 12 Disclosure of Interests in Other Entities

IFRS 12 requires the extensive disclosure of information that enables users of financial statements to evaluate the nature of, and risks associated with, interests in other entities and the effects of those interests on its financial position, financial performance and cash flows.

In high-level terms, the required disclosures are grouped into the following broad categories:

- Significant judgements and assumptions - such as how control, joint control, significant influence has been determined

1 Accounting Policies (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (continued)

(iii) *Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 30 June 2012 and future annual periods (continued)*

IFRS 12 Disclosure of Interests in Other Entities (continued)

- Interests in subsidiaries - including details of the structure of the group, risks associated with structured entities, changes in control, and so on
- Interests in joint arrangements and associates - the nature, extent and financial effects of interests in joint arrangements and associates (including names, details and summarised financial information)
- Interests in unconsolidated structured entities - information to allow an understanding of the nature and extent of interests in unconsolidated structured entities and to evaluate the nature of, and changes in, the risks associated with its interests in unconsolidated structured entities

IFRS 12 lists specific examples and additional disclosures which further expand upon each of these disclosure objectives, and includes other guidance on the extensive disclosures required.

The directors anticipate that IFRS 12 will be adopted in the group's financial statements for the annual period beginning 1 January 2013 and that the application of the new standard would result in more extensive disclosures in the financial statements.

IFRS 13 Fair Value Measurements

IFRS 13 replaces the guidance on fair value measurement in existing IFRS accounting literature with a single standard. The IFRS is the result of joint efforts by the IASB and FASB to develop a converged fair value framework. The IFRS defines fair value, provides guidance on how to determine fair value and requires disclosures about fair value measurements. However, IFRS 13 does not change the requirements regarding which items should be measured or disclosed at fair value.

IFRS 13 applies when another IFRS requires or permits fair value measurements or disclosures about fair value measurements (and measurements, such as fair value less costs to sell, based on fair value or disclosures about those measurements).

With some exceptions, the standard requires entities to classify these measurements into a 'fair value hierarchy' based on the nature of the inputs:

- Level 1 - quoted prices in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 - inputs other than quoted market prices included within Level 1 that are observable for the asset or liability, either directly or indirectly;
- Level 3 - unobservable inputs for the asset or liability.

1 Accounting Policies (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (continued)

(iii) Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 30 June 2012 and future annual periods (continued)

IFRS 13 Fair Value Measurements (continued)

The scope of IFRS 13 is broad; it applies to both financial instrument items and non-financial instrument items for which other IFRSs require or permit fair value measurements and disclosures about fair value measurements, except in specified circumstances. In general, the disclosure requirements in IFRS 13 are more extensive than those required in the current standards. For example, quantitative and qualitative disclosures based on the three-level fair value hierarchy currently required for financial instruments only under IFRS 7 Financial Instruments: Disclosures will be extended by IFRS 13 to cover all assets and liabilities within its scope.

The directors anticipate that the application of the new Standard may affect the amounts reported in the financial statements and result in more extensive disclosures in the financial statements, however, the group is yet to assess IFRS 13's full impact and intends to adopt the standard no later than the accounting period beginning on or after 1 January 2013.

IAS 28, Investments in Associates and Joint Ventures (2011)

This standard supersedes IAS 28, Investments in Associates, and prescribes the accounting for investments in associates and sets out the requirements for the application of the equity method when accounting for investments in associates and joint ventures.

The standard defines 'significant influence' and provides guidance on how the equity method of accounting is to be applied (including exemptions from applying the equity method in some cases). It also prescribes how investments in associates and joint ventures should be tested for impairment.

The standard is effective for annual periods beginning on or after 1 January 2013. The group will apply this amendment prospectively. The directors, however, anticipate no material impact to the group's financial statements.

IAS 27 Separate Financial Statements (2011)

Amended version of IAS 27 which now only deals with the requirements for separate financial statements, which have been carried over largely unamended from IAS 27 Consolidated and Separate Financial Statements. Requirements for consolidated financial statements are now contained in IFRS 10 Consolidated Financial Statements.

The Standard requires that when an entity prepares separate financial statements, investments in subsidiaries, associates, and jointly controlled entities are accounted for either at cost, or in accordance with IFRS 9 Financial Instruments.

The Standard also deals with the recognition of dividends, certain group reorganisations and includes a number of disclosure requirements.

1 Accounting Policies (continued)

Adoption of new and revised International Financial Reporting Standards (IFRSs) and Interpretations (IFRIC) (continued)

(iii) *Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 30 June 2012 and future annual periods (continued)*

IAS 27 Separate Financial Statements (2011) (continued)

The standard is effective for annual periods beginning on or after 1 January 2013. The group will apply this amendment prospectively. The directors anticipate no material impact to the group's financial statements.

IAS 19 Employee Benefits (2011)

An amended version of IAS 19 Employee Benefits with revised requirements for pensions and other post-retirement benefits, termination benefits and other changes.

The key amendments include:

- Requiring the recognition of changes in the net defined benefit liability (asset) including immediate recognition of defined benefit cost, disaggregation of defined benefit cost into components, recognition of remeasurements in other comprehensive income, plan amendments, curtailments and settlements (eliminating the 'corridor approach' permitted by the existing IAS 19)
- Introducing enhanced disclosures about defined benefit plans
- Modifying accounting for termination benefits, including distinguishing benefits provided in exchange for service and benefits provided in exchange for the termination of employment and affect the recognition and measurement of termination benefits
- Clarifying various miscellaneous issues, including the classification of employee benefits, current estimates of mortality rates, tax and administration costs and risk-sharing and conditional indexation features
- Incorporating other matters submitted to the IFRS Interpretations Committee.

The directors anticipate that the application of the amendment may affect the amounts reported in the financial statements. However, the group is yet to assess full impact of the amendment.

Disclosures — Offsetting Financial Assets and Financial Liabilities (Amendments to IFRS 7)

Amends the disclosure requirements in IFRS 7 Financial Instruments: Disclosure to require information about all recognised financial instruments that are set off in accordance with paragraph 42 of IAS 32 Financial Instruments: Presentation.

The amendments also require disclosure of information about recognised financial instruments subject to enforceable master netting arrangements and similar agreements even if they are not set off under IAS 32. The IASB believes that these disclosures will allow financial statement users to evaluate the effect or

1 Accounting Policies (continued)

Adoption of new and revised International Financial Reporting Standards (IFRS's) and Interpretations (IFRIC) (continued)

(iii) Impact of relevant new and amended standards and interpretations on the financial statements for the year ended 30 June 2012 and future annual periods (continued)

Disclosures — Offsetting Financial Assets and Financial Liabilities (Amendments to IFRS 7) (continued)

potential effect of netting arrangements, including rights of set-off associated with an entity's recognised financial assets and recognised financial liabilities, on the entity's financial position.

The above amendments are generally effective for annual periods beginning on or after 1 January 2013. The group will apply the amendments prospectively. The directors anticipate no material impact to the group's financial statements.

Presentation of Items of Other Comprehensive Income (Amendments to IAS 1)

These amend IAS 1, Presentation of Financial Statements, to revise the way other comprehensive income is presented.

The amendments include:

- Preserve the amendments made to IAS 1 in 2007 to require profit or loss and Other comprehensive Income (OCI) to be presented together, i.e. either as a single 'statement of profit or loss and comprehensive income', or a separate 'statement of profit or loss' and a 'statement of comprehensive income' – rather than requiring a single continuous statement.
- Require entities to group items presented in OCI based on whether they are potentially reclassifiable to profit or loss subsequently, i.e. those that might be reclassified and those that will not be reclassified.
- Require tax associated with items presented before tax to be shown separately for each of the two groups of OCI items (without changing the option to present items of OCI either before tax or net of tax).

The above amendments are generally effective for annual periods beginning on or after 1 July 2012. The group will apply the amendments prospectively. Other than presentation, the directors anticipate no material impact to the group's financial statements.

Offsetting Financial Assets and Financial Liabilities (Amendments to IAS 32)

Amends IAS 32 Financial Instruments: Presentation to clarify certain aspects because of diversity in application of the requirements on offsetting, focused on four main areas:

- the meaning of 'currently has a legally enforceable right of set-off'
- the application of simultaneous realisation and settlement
- the offsetting of collateral amounts
- the unit of account for applying the offsetting requirements.

The above amendments are generally effective for annual periods beginning on or after 1 January 2013. The group will apply the amendments prospectively. The directors anticipate no material impact to the group's financial statements.

1 Accounting Policies (continued)

Adoption of new and revised International Financial Reporting Standards (IFRS's) and Interpretations (IFRIC) (continued)

(iv) Early adoption of standards

The group did not early-adopt any new or amended standards in the financial year.

Basis of preparation

The financial statements are prepared on the historical cost basis of accounting as modified to include the revaluation of certain assets. The principal accounting policies adopted in the preparation of these financial statements remain unchanged from the previous year and are as set out below:

Consolidation

The consolidated financial statements incorporate the financial statements of Unga Group Limited and its subsidiary companies, all of which are made up to 30 June each year.

Subsidiary undertakings are those companies in which the group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations. All subsidiaries have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the group and are no longer consolidated as from the date of disposal. All inter-company transactions and balances and unrealised surpluses and deficits on transactions with the subsidiary companies have been eliminated. Subsidiary undertakings are disclosed on note 14.

Non-controlling interests in the net assets of consolidated subsidiaries are identified separately from the group's equity therein. Non-controlling interests consist of the amount of those interests at the date of the original business combination and the non-controlling interest's share of changes in equity since the date of the combination. Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified.

Investments in subsidiary companies

Investments in subsidiary companies are stated at cost less provision for impairment where applicable.

Revenue recognition

Turnover, which represents net sales to external customers during the year, is recognised when goods are delivered and title has passed.

Interest income is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable.

1 Accounting Policies (continued)

Taxation

Income tax represents the sum of tax currently payable and deferred tax.

Current taxation is provided on the basis of the results for the year as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred taxation is provided, under the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the unused tax losses and unused tax credits can be utilised, while deferred tax liabilities are recognised for all taxable temporary differences.

Foreign currencies

i) Transactions and balances

Transactions in foreign currencies during the year are translated into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities which are expressed in foreign currencies are translated into Kenya Shillings at the end of the reporting period. The resulting differences from conversion and translation are dealt with in profit or loss for the year in which they arise.

ii) Translation of foreign operations

The results and financial position of all the group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- assets and liabilities for each statement of financial position presented are translated into Kenya Shillings using exchange rates prevailing at the end of the reporting period;
- income and expenses for each statement of comprehensive income are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- All resulting exchange differences are recognised under other comprehensive income and accumulated in a separate heading, translation reserve, in the consolidated statement of changes in equity.

Employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave accrued at the end of each reporting period.

The group's unionisable staff who resign or retire at retirement age or whose services are terminated for reasons other than gross misconduct are entitled to service gratuity payments in accordance with the

1 Accounting Policies (continued)

Employee entitlements (continued)

prevailing Collective Bargaining Agreement. Service gratuity is provided in the financial statements as it accrues to each employee.

Employee benefits costs

The group operates a defined benefit retirement scheme for its employees. The assets of this scheme are held in a separate trustee administered fund. The scheme is funded by contributions from both the employees and the employer. Benefits are paid to retiring staff in accordance with scheme rules. The cost of providing retirement benefits is assessed using the attained age method by qualified actuaries. The scheme is valued once every three years: the last valuation was as at 31 December 2009.

The amount recognised at the end of each reporting period represents the difference between the actuarial value of past service pension benefits and the fair value of scheme assets.

The retirement benefit asset is amortised on the straight line basis over a period recommended by the scheme's Actuaries.

The group also contributes to a statutory defined contribution pension scheme, the National Social Security Fund (NSSF). Contributions are determined by local statutes in Kenya and Uganda and are currently at Shs 200 per employee per month in Kenya and 10% of the employee's salary in Uganda. The group's contributions are charged to profit or loss in the year to which they relate.

Dividends payable

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises expenditure directly incurred in purchasing or manufacturing the inventories plus an allocation of normal overhead expenditure attributable to the processes through which they have passed. Cost is determined using standard costs which approximate actual. Net realisable value represents the estimated selling price less all estimated costs to completion and costs to be incurred in selling and distribution. Specific provisions are made for obsolete, slow moving and defective inventories.

Intangible assets

Intangible assets represent computer software.

Intangible assets acquired separately are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

Intangible assets are amortised over the useful economic life of three years and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method is reviewed at each financial year end.

1 Accounting Policies (continued)

Intangible assets (continued)

Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset is accounted for by changing the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The amortisation expense is recognised in profit or loss.

Gains or losses arising from de-recognition of an intangible asset are measured as the difference between the net disposal proceeds and the carrying amount of the asset and are recognised in profit or loss when the asset is derecognized.

Property, plant and equipment

Property, plant and equipment are stated at cost or as professionally revalued less accumulated depreciation and any impairment losses.

Professional valuations are carried out in accordance with the group policy of revaluing items of property, plant and equipment that are carried at valuation every five years.

The basis of valuation is as follows:

- (a) Land and buildings – open market value;
- (b) Other assets – depreciated replacement cost.

Increases in the carrying amounts of property, plant and equipment resulting from revaluation shall be recognised in other comprehensive income and accumulated in the revaluation surplus. However, the increase shall be recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss.

Decreases that offset previous increases of the same asset are recognised in other comprehensive income and charged against the revaluation surplus; all other decreases are charged to profit or loss. Each year the difference between depreciation based on the revalued carrying amount of an asset (the depreciation charged to profit or loss) and depreciation based on the asset's original cost is transferred from the revaluation surplus to revenue reserves.

Depreciation

Depreciation is calculated to write off the cost or valuation of property, plant and equipment in equal annual instalments over their estimated useful lives. The annual rates used are:

Long leasehold buildings	2.5%
Short leasehold buildings	Over period of lease
Computer equipment	33.3%
Plant and machinery	5 - 7.5%
Furniture and fittings	12.5%
Motor vehicles	25%
Silos	Shorter of 50 years or the unexpired period of the lease in respect of the land on which they are built

1 Accounting Policies (continued)

Capital work in progress

Capital work in progress relates to property and plant under construction. Cost includes materials, direct labour and any other direct expenses incurred in respect of the project. The amounts are transferred to the appropriate property, plant and equipment categories once the project is completed and commissioned.

Impairment

At the end of each reporting period, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Any impairment losses are recognised as an expense immediately. Where an impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount. A reversal of an impairment loss is recognised as income immediately.

Non-current assets held for sale

The group classifies a non-current asset as held for sale if, and only if, its carrying amount will be recovered principally through a sale transaction rather than through continuing use.

Non current assets held for sale are measured at the lower of their carrying amounts and fair values less estimated selling costs at end of reporting period date.

Impairment loss arising from any subsequent write-down of the carrying amount of an asset identified for sale to fair value less costs to make the sale is charged to profit or loss in the year in which the loss is identified.

Leasehold land

Payments to acquire interests in leasehold land are treated as prepaid operating lease rentals and amortised over the term of the related lease.

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all risks and rewards of ownership to a company within the group as a lessee. All other leases are classified as operating leases.

The company as a lessor

Rental income from operating leases is recognised on the straight line basis over the terms of the relevant leases.

1 Accounting Policies (continued)

Leases (continued)

The company as a lessee

Rentals payable under operating leases are charged to profit or loss on the straight line basis over the term of the relevant lease.

Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Chief Operating Decision Maker (the Group Managing Director). Management then allocates resources to and assesses the performance of the operating segments of the Group.

Segment result is segment revenue less segment expenses.

Segment revenue is the revenue that is directly attributable to a segment plus the relevant portion of the group's revenue that can be allocated to the segment on a reasonable basis.

Segment expenses are expenses resulting from the operating activities of a segment plus the relevant portion of an expense that can be allocated to the segment on a reasonable basis.

Segment assets and liabilities comprise those operating assets and liabilities that are directly attributable to the segment or can be allocated to the segment on a reasonable basis.

Capital expenditure represents the total cost incurred during the year to acquire segment assets (property, plant and equipment) that are expected to be used during more than one year.

Financial instruments

Financial assets and liabilities are recognised in the group's statement of financial position when the group has become a party to the contractual provisions of the instrument.

Trade receivables

Trade receivables are stated at their nominal value as reduced by appropriate allowances for estimated irrecoverable amounts. Objective evidence of impairment of the receivables is when there is significant financial difficulty of the counter party or when there is a default or delinquency in payment according to agreed terms. When a trade receivable is considered uncollectible it is written off against the allowance account. Subsequent recoveries of amounts previously written off are credited against the allowance account. Changes in the carrying amount of the allowance account are recognised in profit or loss.

Term deposits

Term deposits are classified as held to maturity and are measured at amortised cost.

1 Accounting Policies (continued)

Financial instruments (continue)

Bank borrowings

Interest bearing bank loans and overdrafts are recorded at the proceeds received, net of direct issue costs. Finance charges including premiums payable on settlement or redemption, are accounted for on the accruals basis and are added to the carrying amount of the instrument to the extent that they are not settled in the period they arise.

Trade payables

Trade payables are stated at their nominal value.

Comparatives

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

2 CRITICAL JUDGEMENTS IN APPLYING THE GROUP'S ACCOUNTING POLICIES

In the process of applying the group's accounting policies, management has made estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The key areas of judgement in applying the group's accounting policies are dealt with below:

Impairment losses

At the end of each reporting period, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Property, plant and equipment

Critical estimates are made by directors in determining the useful lives and residual values to property, plant and equipment based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances such as technological advances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.

3 OPERATING SEGMENTS

The principal activity of the group continues to be the milling of wheat and maize, the manufacture of packaging materials and animal nutrition products, and the distribution of animal health products.

Management has chosen to organise the entity around differences in market segments served by their

Notes to the Financial Statements (continued)



3 OPERATING SEGMENTS (Continued)

products into two main segments namely consumer and animal nutrition and health. Management considers the fact that reports regularly reviewed by the chief operating decision maker in order to allocate resources and to assess performance are based on these two operating segments.

Description of the types of products and services from which each reportable segment derives its revenues

Unga Group Limited has two reportable segments: consumer and animal nutrition and health. The consumer segment produces products for human consumption. The animal nutrition and health segment produces animal feed and mineral supplement products and distributes products for animal health.

Measurement of operating segment profit or loss, assets and liabilities

The accounting policies of the operating segments are the same as those described in the summary of significant accounting policies.

Unga Group Limited accounts for intersegment sales and transfers as if the sales or transfers were to third parties, i.e. at current market prices.

Factors that management uses to identify the entity's reportable segments

Unga Group Limited segments are strategic business units that serve different market segments. They are managed separately because each business requires different technology and marketing strategies.

Information about major customers

One customer under the animal health and nutrition segment accounts for more than 10% of the revenue arising from direct sales while other operating segments have none.

Information on reportable segment profit or loss, assets and liabilities

Operating segments-30 June 2012

	Consumer Shs'000	Animal nutrition and health Shs'000	Others Shs'000	Eliminations Shs'000	Consolidated Shs'000
Revenue from external customers	9,746,029	5,913,524	317,210	-	15,976,763
Inter-segment revenues	954,829	49,801	306,293	(1,310,923)	-
Interest income	10,647	-	36,940	-	47,587
Interest expense	1,059	87	9,445	-	10,591
Depreciation and amortisation	79,876	41,462	7,282	-	128,620
Reportable segmental profit	92,543	194,837	261,729	(200,914)	348,195
	=====	=====	=====	=====	=====

Notes to the Financial Statements (continued)



3 OPERATING SEGMENTS (Continued)

Operating segments-30 June 2012 (continued)

Other material non-cash items:

	Consumer Shs'000	Animal nutrition and health Shs'000	Others Shs'000	Eliminations Shs'000	Consolidated Shs'000
Amortisation of actuarial surplus	10,716	8,084	-	-	18,800
Reportable segment assets	3,522,399	2,213,823	674,037	-	6,410,259
Expenditures for reportable segment non-current assets	41,312	180,948	63,483	-	285,743
Reportable segmental liabilities	1,339,565	859,871	221,605	-	2,421,041
	=====	=====	=====	=====	=====

Operating segments-30 June 2011

Revenue from external customers	8,233,373	4,764,315	216,754	-	13,214,442
Inter-segment revenues	428,401	48,006	241,534	(717,941)	-
Interest income	3,562	322	21,562	(12,552)	12,894
Interest expense	23,864	-	960	(12,552)	12,272
Depreciation and amortisation	78,972	32,837	1,826	-	113,635
Reportable segmental profit	216,633	143,283	329,248	(248,121)	441,043
	=====	=====	=====	=====	=====

Other material non-cash items:

Amortisation of actuarial surplus	10,716	8,084	-	-	18,800
Reportable segment assets	3,724,730	1,336,733	647,434	-	5,708,897
Expenditures for reportable segment non-current assets	79,792	17,479	7,138	-	104,409
Reportable segmental liabilities	1,179,319	504,412	280,215	-	1,963,946
	=====	=====	=====	=====	=====

Geographical information

	Revenues Shs'000	Non-current assets Shs'000
At 30 June 2012		
Country		
Kenya	14,837,502	1,666,956
Uganda	1,139,261	98,412
Total	15,976,763	1,765,368
	=====	=====
At 30 June 2011		
Country		
Kenya	12,075,232	1,507,125
Uganda	1,139,210	115,155
Total	13,214,442	1,622,280
	=====	=====

Notes to the Financial Statements (continued)



4 FINANCE COSTS

	2012 Shs'000	2011 Shs'000
Interest payable:		
Bank overdrafts	341	960
Other	10,250	11,312
	<u>10,591</u>	<u>12,272</u>
	=====	=====

5 PROFIT BEFORE TAXATION

Staff costs (note 6)	518,466	463,319
Depreciation (note 11)	124,668	111,014
Amortisation of prepaid operating lease rentals (note 12)	1,236	1,225
Amortisation of intangible assets (note 13)	2,716	1,396
Loss on disposal of leasehold property	-	7
Directors emoluments		
- fees	3,770	2,640
- other	13,704	12,994
Auditors' remuneration	10,153	9,091
Rent payable	57,903	45,649
Amortisation of defined benefit scheme asset (note 15)	18,800	18,800
and after crediting:		
Interest income	(47,587)	(12,894)
Rent receivable	(3,814)	(3,992)
Profit on disposal of property, plant and equipment	(912)	(1,834)
Bad debt recoveries	(5,136)	(3,707)
	=====	=====

6 STAFF COSTS

Salaries and wages	493,341	441,111
Pension costs – amortisation of defined benefit scheme assets (note 15)	18,800	18,800
Service gratuity (note 24)	4,423	3,281
Social security costs (NSSF) contributions	1,675	1,052
Leave pay provision/(writeback)	227	(925)
	<u>518,466</u>	<u>463,319</u>
	=====	=====

7 TAXATION

(a) Taxation charge		
Current taxation based on the chargeable profit for the year at 30%	76,311	197,223
Prior year under provision	2,669	1,806
	<u>78,980</u>	<u>199,029</u>
Deferred taxation (charge)/credit (note 16)		
Current year	85,983	(8,794)
Prior year over provision	(589)	(208)
	<u>85,394</u>	<u>(9,002)</u>
	<u>164,374</u>	<u>190,027</u>
	=====	=====

Notes to the Financial Statements (continued)

7 TAXATION (Continued)

	2012 Shs'000	2011 Shs'000
(b) Reconciliation of taxation charge to the expected tax based on accounting profit		
Accounting profit before taxation	512,569	631,070
	=====	=====
Tax charge at the applicable rate of 30%	153,771	189,321
Tax effect of expenses not allowable for tax	13,730	13,667
Tax effect of income not subject to tax	(5,207)	(14,559)
Prior year current tax under provision	2,669	1,806
Prior year deferred tax over provision	(589)	(208)
	-----	-----
Taxation charge	164,374	190,027
	=====	=====
(c) Taxation (recoverable)/payable		
At beginning of year:		
Payable	81,424	52,915
Recoverable	(6,584)	(31,820)
	-----	-----
	74,840	21,095
Charge for the year	78,980	199,029
Exchange adjustment	41	269
Payments during the year	(275,696)	(145,553)
	-----	-----
At end of year	(121,835)	74,840
	=====	=====
Comprising:		
Payable	10,455	81,424
Recoverable	(132,290)	(6,584)
	-----	-----
	(121,835)	74,840
	=====	=====
(d) Taxation recoverable - COMPANY		
At beginning of year	(1,854)	(385)
Charge for the year	-	1,326
Prior year (over)/under provision	(2,300)	385
Payments during the year	(6,049)	(3,180)
	-----	-----
At end of year	(10,203)	(1,854)
	=====	=====

Notes to the Financial Statements (continued)



8 PROFIT FOR THE YEAR

A profit of Shs 55,521,661 (2011 – Shs 37,897,556) has been dealt with in the books of the company, Unga Group Limited.

9 EARNINGS PER SHARE

Basic earnings per share has been calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	2012	2011
Profit for the year attributable to shareholders (Shs '000)	212,683	270,382
	=====	=====
Weighted average number of ordinary shares	75,706,986	75,706,986
	=====	=====
Basic earnings per share	Sh 2.81	Sh 3.57
	=====	=====

Diluted earnings per share is the same as basic earnings per share.

10 DIVIDEND

Dividend – proposed (Shs)	56,780,240	56,780,240
	=====	=====
Number of ordinary shares	75,706,986	75,706,986
	=====	=====
Dividend per share	Shs 0.75	Shs 0.75
	=====	=====

In respect of the current financial year, the directors propose a first and final dividend of Shs 0.75 (2011 – Shs 0.75) per ordinary share totalling Shs 56,780,240 (2011 – Shs 56,780,240). The proposed dividend is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

Payment of dividend is subject to withholding tax at a rate of 10% for non-resident shareholders and 5% for resident shareholders. For resident shareholders, withholding tax is only deductible where the shareholding is below 12.5%.

11 PROPERTY, PLANT AND EQUIPMENT

GROUP	Leasehold buildings Shs'000	Plant, machinery, and equipment Shs'000	Motor vehicles Shs'000	Capital work in progress Shs'000	Total Shs'000
Cost or Valuation					
At 1 July 2011	860,960	1,114,524	149,871	4,937	2,130,292
Exchange adjustments	542	959	44	19	1,564
Additions	760	77,859	12,636	13,154	104,409
Disposals	(4,524)	-	(6,482)	-	(11,006)
At 30 June 2011	<u>857,738</u>	<u>1,193,342</u>	<u>156,069</u>	<u>18,110</u>	<u>2,225,259</u>

Notes to the Financial Statements (continued)

11 PROPERTY, PLANT AND EQUIPMENT (Continued)

GROUP (Continued)	Leasehold buildings Shs'000	Plant, machinery, and equipment Shs'000	Motor vehicles Shs'000	Capital work in progress Shs'000	Total Shs'000
Cost or Valuation (continued)					
Comprising:					
Valuation in 2008	851,967	919,148	-	-	1,771,115
Cost	5,771	274,194	156,069	18,110	454,144
	<u>857,738</u>	<u>1,193,342</u>	<u>156,069</u>	<u>18,110</u>	<u>2,225,259</u>
At 1 July 2011	857,738	1,193,342	156,069	18,110	2,225,259
Exchange adjustments	(3,028)	(5,608)	(424)	(373)	(9,433)
Additions	1,727	239,153	37,225	5,587	283,692
Transfer from Capital Work In Progress	-	12,748	-	(12,748)	-
Disposals	-	(108,234)	(19,299)	-	(127,533)
	<u>856,437</u>	<u>1,331,401</u>	<u>173,571</u>	<u>10,576</u>	<u>2,371,985</u>
At 30 June 2012	856,437	1,331,401	173,571	10,576	2,371,985
Comprising:					
Valuation in 2008	851,967	919,148	-	-	1,769,944
Cost	5,771	412,253	173,571	10,576	602,041
	<u>857,738</u>	<u>1,331,401</u>	<u>173,571</u>	<u>10,576</u>	<u>2,371,985</u>
Depreciation					
At 1 July 2011	54,431	441,424	128,564	-	624,419
Exchange adjustments	77	215	39	-	331
Charge for the year	25,977	75,059	9,978	-	111,014
Eliminated on disposal	(207)	-	(6,482)	-	(6,689)
	<u>80,278</u>	<u>516,698</u>	<u>132,099</u>	<u>-</u>	<u>729,075</u>
At 30 June 2011	80,278	516,698	132,099	-	729,075
At 1 July 2012	80,278	516,698	132,099	-	729,075
Exchange adjustments	(505)	(1,727)	(98)	-	(2,330)
Charge for the year	25,439	82,054	17,175	-	124,668
Eliminated on disposal	-	(103,513)	(9,248)	-	(112,761)
	<u>105,212</u>	<u>493,512</u>	<u>139,928</u>	<u>-</u>	<u>738,652</u>
At 30 June 2012	105,212	493,512	139,928	-	738,652
Net Book Value					
At 30 June 2012	751,225	837,889	33,643	10,576	1,633,333
	=====	=====	=====	=====	=====
At 30 June 2011	777,460	676,644	23,970	18,110	1,496,184
	=====	=====	=====	=====	=====
Net Book Value (Cost basis)					
At 30 June 2012	305,797	640,855	33,643	10,576	992,871
	=====	=====	=====	=====	=====
At 30 June 2011	316,477	472,349	23,970	18,110	830,906
	=====	=====	=====	=====	=====

Notes to the Financial Statements (continued)



11 PROPERTY, PLANT AND EQUIPMENT (Continued)

Buildings and certain items of property, plant and equipment were revalued as at 30 June 2008 by Tysons Limited, Registered Valuers and Estate Agents on an open market value basis.

Included in property, plant and equipment are fully depreciated assets with a cost/valuation of Shs 263,863,000 (2011 – Shs 294,063,000). The normal annual depreciation on these assets would have been Shs 31,902,186 (2011 – Shs 61,411,000).

The group has pledged assets with net book value of Shs 536,581,000 (2011 - Shs 619,427,000) to secure its borrowings facilities.

12 PREPAID OPERATING LEASE RENTALS

GROUP

	2012 Shs'000	2011 Shs'000
Cost		
At beginning of year	59,597	59,731
Exchange adjustment	(1,232)	177
Disposal	-	(311)
At end of year	58,365	59,597
Amortisation		
At beginning of year	19,160	17,577
Exchange adjustment	(169)	368
Amortisation for the year	1,560	1,225
Eliminated on disposal	-	(10)
At end of year	20,552	19,160
Net Book Value		
At end of year	37,813	40,437

The group has pledged leasehold land with a net book value of Shs 13,366,370 (2011 – Shs 14,443,411) to secure borrowings.

13 INTANGIBLE ASSETS - COMPUTER SOFTWARE

GROUP

	2012 Shs'000	2011 Shs'000
Cost		
At beginning of year	47,886	40,806
Additions	2,051	7,080
Exchange difference	(122)	-
At end of year	49,815	47,886

Notes to the Financial Statements (continued)



13 INTANGIBLE ASSETS - COMPUTER SOFTWARE (Continued)

GROUP (Continued)

	2012 Shs'000	2011 Shs'000
Amortisation		
At beginning of year	41,442	40,046
Exchange difference	(15)	-
Amortisation for the year	2,716	1,396
At end of year	44,143	41,442
Net Book Value		
At end of year	5,672	6,444
	=====	=====

14 INVESTMENT IN SUBSIDIARY COMPANY

Unquoted investment at cost in wholly owned subsidiary:

Unga Investments Limited

1,297,335	1,297,335
=====	=====

Details of the company's subsidiaries are as follows:

Name	Share capital Shs '000	Country of incorporation	Principal activity	Percentage
Unga Investments Limited	22,200	Kenya	Operates as a holding and an investment company.	100%

Unga Investments Limited has a 65% holding in its subsidiary, Unga Holdings Limited, which has the following subsidiaries:

Company	Share capital Shs '000	Country of Incorporation	Principal activity	Percentage
Unga Limited	220,000	Kenya	Milling and sale of wheat and maize.	100%
Unga Farm Care (East Africa) Limited	22,520	Kenya	Manufacture of animal nutrition products and distribution of animal health products.	100%
Unga Feeds Limited	42,300	Kenya	Dormant company.	100%
Unga Foods Limited	15,400	Kenya	Dormant company.	100%
Bullpak Limited	4,760	Kenya	Manufacture and sale of packaging material for wheat and maize flour products.	51%
Unga Millers (U) Limited	Ush 231,881,000	Uganda	Milling and sale of wheat and maize, and distribution of animal nutrition products.	60%

Unga Farm Care (East Africa) Limited has a 74% holding in Unga Farm Care (Tanzania) Limited, a company incorporated in Tanzania. This subsidiary is dormant and is currently undergoing liquidation. The carrying amount of this investment has been fully impaired.

CMA-LIBRARY

Notes to the Financial Statements (continued)



15 RETIREMENT BENEFITS ASSET

GROUP

The retirement benefits scheme asset represents a surplus of the fair value of scheme assets over the value of past service pension benefits based on an actuarial valuation carried out as at 31 December 2009. In accordance with a recommendation by the actuaries, the group is taking a contribution holiday for 5 years with effect from 1 January 2010. The length of the contribution holiday is subject to review at every valuation date based on the advice of the Actuaries. The next actuarial valuation is due as at 31 December 2012.

The principal actuarial assumptions applied in the last valuation were:

Rate of interest	9%
Rate of salary escalation	7%
Rate of pension increases	0%
	=====

Amounts recognised in profit or loss in respect of the defined benefit plan are as follows:

	2012 Shs'000	2011 Shs'000
Amortisation of revaluation surplus	18,800	18,800

The amount included in the statement of financial position arising from the group's obligation in respect of this defined benefit plan is as follows:

	2012 Shs'000	2011 Shs'000
Fair value of plan assets	268,300	268,300
Present value of funded defined benefit obligation	(176,300)	(176,300)
	=====	=====
Excess of plan assets over accrued liabilities	92,000	92,000
	=====	=====
Movement:		
Share of excess of plan assets over accrued liabilities at beginning and end of year	97,148	97,148
	=====	=====
Amortisation:		
Amortisation at beginning of year	(33,348)	(14,548)
Charge recognised in profit or loss	(18,800)	(18,800)
	=====	=====
Amortisation at end of year	(52,148)	(33,348)
	=====	=====
Net asset arising from defined benefit obligation	45,000	63,800
	=====	=====

Notes to the Financial Statements (continued)

16 DEFERRED TAXATION

Deferred taxation is provided on all temporary differences under the liability method using the currently enacted rate of 30%.

The net deferred taxation liability is made up as follows:

Deferred tax liabilities:

	2012 Shs'000	2011 Shs'000
Accelerated capital allowances	146,769	102,667
Revaluation surpluses in subsidiary companies	252,518	264,777
Unrealised exchange differences	13,637	-
	<u>412,924</u>	<u>367,444</u>

Deferred tax assets:

Tax losses available for offset against future profits	(2,344)	-
Provision for leave pay	(2,779)	(2,387)
General provisions	(43,582)	(68,840)
Provision for service gratuity	(19,422)	(18,285)
Unrealised exchange differences	-	(16,583)
	<u>(68,127)</u>	<u>(106,095)</u>

Net deferred tax liability	344,797	261,349
	=====	=====

Movement on the deferred tax account is as follows:

At beginning of year	261,349	270,111
Exchange adjustments	(1,946)	240
Deferred taxation credit/(charge) (note 7)	85,394	(9,002)

At end of year	344,797	261,349
	=====	=====

Comprising:

Deferred tax asset	(43,550)	(15,415)
Deferred tax liability	388,347	276,764
	<u>344,797</u>	<u>261,349</u>
	=====	=====

COMPANY

Tax losses available for offset against future profits	<u>1,251</u>	-
	=====	=====

Movement on the deferred tax account is as follows:

At beginning of year	-	-
Deferred taxation credit	1,251	-

At end of year	<u>1,251</u>	-
	=====	=====

Notes to the Financial Statements (continued)



17 INVENTORIES

	2012 Shs'000	2011 Shs'000
GROUP		
Raw materials	1,672,951	1,281,844
Finished products	214,244	229,352
Packing materials	46,408	39,806
Engineering stores	82,514	27,104
Goods in transit	99,372	348,115
	2,115,489	1,926,221
	=====	=====

18 TRADE AND OTHER RECEIVABLES

GROUP		
Trade receivables	1,098,587	587,727
Other receivables and prepayments	650,006	502,022
	1,748,593	1,089,749
	=====	=====
COMPANY		
Other receivables	2,518	1,699
	=====	=====

19 SUBSIDIARY COMPANIES BALANCES - COMPANY

(a) Due from Subsidiary Companies

Unga Limited	6,477	17,550
Unga Feeds Limited	7,000	7,000
	13,477	24,550
	=====	=====

(b) Due to Subsidiary Companies

Unga Holdings Limited	23,013	23,013
Unga Investments Limited	119,744	95,584
	142,757	118,597
	=====	=====

20 TERM DEPOSITS

GROUP		
Maturing within 90 days:	-	100,000
Maturing within 180 days:	280,000	249,500
Term deposits with banks	280,000	349,500
	=====	=====

Notes to the Financial Statements (continued)



20 Term Deposits (continued)

	2012 Shs'000	2011 Shs'000
COMPANY		
Term deposits with banks: Maturing within 180 days:	280,000 =====	249,500 =====

The effective interest rate on term deposits as at 30 June 2012 was 17.2% (2011 – 5.6%).

21 NON CURRENT ASSETS CLASSIFIED AS HELD FOR SALE

	2012 Shs'000	2011 Shs'000
GROUP		
At beginning and end of year	3,928 =====	3,928 =====

The group intends to dispose of a parcel of leasehold land it no longer utilises in the next twelve months. A search is underway for a buyer.

22 SHARE CAPITAL

	2012 Shs'000	2011 Shs'000
Authorised:		
82,760,000 ordinary shares of Shs 5 each	413,800 =====	413,800 =====
Issued and fully paid:		
75,706,986 ordinary shares of Shs 5 each	378,535 =====	378,535 =====

23 NON-CONTROLLING INTERESTS

GROUP		
At beginning of year	1,214,316	1,064,934
Dividend paid	(30,574)	(20,383)
	1,183,742	1,044,551
Share of profit for the year	135,512	170,661
Exchange adjustment	(5,801)	(896)
Total comprehensive income for the year	129,711	169,765
At end of year	1,313,453 =====	1,214,316 =====

Notes to the Financial Statements (continued)



23 Non-Controlling Interests - Group (continued)

		2012 Shs'000	2011 Shs'000
The non-controlling interests consists of:			
Unga Holdings Limited:			
Equity interest held by Seaboard Corporation	35%	1,175,603	1,109,010
Bullpak Limited:			
Equity interest held by Nampak Holdings Limited	49%	109,701	86,085
Unga Millers (U) Limited:			
Equity interest held by individual minority shareholders	40%	28,149	19,221
		1,313,453	1,214,316
		=====	=====

24 SERVICE GRATUITY

At beginning of year	60,952	66,438
Charge recognised in profit or loss	4,423	3,281
Paid during the year	(634)	(8,767)
At end of year	64,741	60,952
	=====	=====

The service gratuity represents the present value of future obligations in respect of unionisable staff in accordance with the Collective Bargaining Agreement.

25 LOANS PAYABLE

	2012 Shs'000	2011 Shs'000
GROUP		
At beginning of year	-	5,608
Exchange adjustment	-	(388)
Loans repaid	-	(5,220)
At end of year	-	-
	=====	=====

These were short term loans advanced by the minority shareholders to a subsidiary company. The loans attracted interest at 12% per annum and were repaid during the year ended 30 June 2011.

Notes to the Financial Statements (continued)



26 TRADE AND OTHER PAYABLES

	2012 Shs'000	2011 Shs'000
GROUP		
Trade payables	566,464	409,429
Other payables and accruals	608,089	286,598
	1,174,553	696,027
	=====	=====
COMPANY		
Other payables and accruals	15,017	6,755
	=====	=====

27 UNCLAIMED DIVIDENDS

GROUP & COMPANY		
At beginning of the year	21,482	21,482
Declared in the year	56,780	37,853
Dividends paid	(56,780)	(37,853)
At end of year	21,482	21,482
	=====	=====

28 DUE TO RELATED COMPANIES

GROUP		
Seaboard Corporation subsidiaries	665,196	627,027
Nampak Kenya Limited	5,246	47,303
Nampak International Limited	91,021	152,967
	761,463	827,297
	=====	=====
The amounts are repayable as follows:		
On demand or within one year	761,463	819,863
In the second to the fifth years	-	7,434
	761,463	827,297
	=====	=====

Notes to the Financial Statements (continued)



29 NOTES TO THE STATEMENT OF CASH FLOWS

	2012 Shs'000	2011 Shs'000
(a) Reconciliation of profit before taxation to cash generated from operations		
Profit before taxation	512,569	631,070
Adjustments for:		
Depreciation (note 11)	124,668	111,014
Amortisation of prepaid operating lease rentals (note 12)	1,236	1,225
Amortisation of intangible assets (note 13)	2,716	1,396
Profit on disposal of property, plant and equipment	(912)	(1,834)
Loss on sale of leasehold property	-	7
Amortization of retirement benefits asset (note 15)	18,800	18,800
Working capital changes;		
(Increase)/decrease in inventories	(197,695)	31,787
Increase in trade and other receivables	(664,055)	(293,814)
Increase in trade and other payables	483,525	154,259
Movement in related company balance	(65,834)	92,844
Increase/(decrease) in service gratuity	3,789	(5,486)
Cash generated from operations	218,807	741,268
(b) Analysis of the balances of cash and cash equivalents as shown in the statement of financial position		
Bank balances	364,171	708,687
Cash balances	420	1,948
Term deposits (note 20)	364,591	710,635
	-	100,000
At end of year	364,591	810,635
(c) Exchange adjustments on working capital		
Inventories	(8,427)	(42)
Trade and other receivables	(5,211)	(197)
Trade and other payables	4,999	(137)
	(8,639)	(376)

For the purposes of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from the bank repayable within three months from the date of advance.

Notes to the Financial Statements (continued)



30 RELATED PARTY TRANSACTIONS

	2012 Shs'000	2011 Shs'000
GROUP		
During the year the following transactions were entered into with related parties		
Purchase of goods/services:		
Raw material purchases – Seaboard Overseas Limited	4,160,108	2,924,419
Other expenses – Seaboard Overseas Management Company	62,295	83,805
– Nampak Kenya Limited	9,141	5,104
Purchase of equipment and spares – Seaboard Overseas Group	95,337	73,861
Interest charged – Seaboard Overseas Limited	9,125	9,743
	=====	=====
Sale of goods/services:		
Sale of finished goods – Kenchic Limited	1,500,413	915,696
	=====	=====
COMPANY		
Technical service fee income	-	12,000
	=====	=====

Amounts not settled as at the end of the reporting period are disclosed in note 28.

The group is related to one of its bankers, NIC Bank Limited, by virtue of common directorship.

The group is also related to one of its customers, Kenchic Limited, by virtue of common directorship. Amounts not settled as at the end of the reporting period and included in trade receivables amount to Shs 317,139,719 (2011 – 124,454,878).

Key management compensation

The remuneration of directors and other members of key management during the year were as follows:

	2012 Shs'000	2011 Shs'000
Salaries and other short-term employment benefits	58,815	45,230
	=====	=====
Directors' remuneration		
Fees for services as a director	3,770	2,640
Other emoluments (included in key management compensation above)	13,704	12,994
	=====	=====
	17,474	15,634
	=====	=====

Notes to the Financial Statements (continued)



31 CAPITAL RISK MANAGEMENT

The group manages its capital to ensure that it will be able to continue as a going concern while maximising the return to stakeholders through the optimisation of the debt and equity balance.

The capital structure of the group consists of equity attributable to equity holders, comprising issued capital and reserves.

Consistent with others in the industry, the group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. There were no borrowings at 30 June 2012 and 30 June 2011.

	2012 Shs'000	2011 Shs'000
Share capital	378,535	378,535
Share premium	73,148	73,148
Revaluation surplus	670,898	689,208
Translation reserve	(5,221)	5,552
Revenue reserve	1,558,405	1,384,192
Equity	2,675,765	2,530,635
	=====	=====

32 FINANCIAL RISK MANAGEMENT

The group's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt prices, foreign currency exchange rates and interest rates. The group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by management under policies based on guidance received from the board of directors. Management identifies and evaluates financial risks. The board provides guidance for overall risk management, as well as providing direction on specific areas such as foreign exchange risk and liquidity risk. The group has policies in place to ensure that sales are made to customers with an appropriate credit history.

Credit risk

Credit risk is managed on a group-wide basis. Credit risk arises from cash and cash equivalents, deposits with banks, as well as trade and other receivables. The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by the banking regulatory authority. The group management assesses the credit quality of each customer, taking into account their financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the management. The utilisation of credit limits is regularly monitored.

Notes to the Financial Statements (continued)



32 FINANCIAL RISK MANAGEMENT (Continued)

The amount that best represents the group's and company's maximum exposure to credit risk as at the end of each reporting period is made up as follows:

GROUP

	Fully performing Shs'000	Past due Shs'000	Impaired Shs'000	Total Shs'000
30 June 2012				
Trade receivables	856,191	242,465	192,082	1,290,738
Due from group companies	70,951	-	-	70,951
Bank balances	362,366	-	-	362,366
	1,289,508	242,465	192,082	1,724,055
	=====	=====	=====	=====
30 June 2011				
Trade receivables	525,605	62,122	230,764	818,491
Bank balances	708,687	-	-	708,687
Term deposits	349,500	-	-	349,500
	1,583,792	62,122	230,764	1,876,678
	=====	=====	=====	=====

COMPANY

	Fully performing Shs'000	Past due Shs'000	Impaired Shs'000	Total Shs'000
30 June 2012				
Due from subsidiary companies	13,477	-	-	13,477
Bank balances	1,805	-	-	1,805
Term deposits	280,000	-	-	280,000
	295,282	-	-	295,282
	=====	=====	=====	=====
30 June 2011				
Due from subsidiary companies	24,550	-	-	24,550
Bank balances	487	-	-	487
Term deposits	249,500	-	-	249,500
	274,537	-	-	274,537
	=====	=====	=====	=====

Notes to the Financial Statements (continued)



32 FINANCIAL RISK MANAGEMENT (Continued)

Credit risk (continued)

The customers under the fully performing category are paying their debts as they continue trading.

The receivables that are past due relate to trade receivables overdue between 30 to 120 days. The receivables are not impaired and continue to be paid. The credit control department is actively following these receivables. Cash deposits of Shs 32,535,000 (2011: Shs 20,800,000) and bank guarantees amounting to Shs 504,300,000 (2011: Shs 356,870,000) are held as collateral for trade receivables.

The impaired amounts are fully provided for and the amount of the loss incurred dealt with in profit or loss during the year of impairment.

In determining the recoverability of a trade receivable, the company considers any change in the credit quality of the trade receivable from the date credit was initially granted up to the end of the reporting period. The concentration of credit risk is limited due to the customer base being large and unrelated.

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the board of directors, which together with management, closely monitors the group's short, medium and long term funding and liquidity management requirements. The group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The table below analyses the group's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at end of reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

GROUP

	1-3 months Shs'000	3-12 months Sh'000	Over 1 year Sh'000	Total Sh'000
At 30 June 2012				
Financial Assets:				
Trade receivables	856,122	242,465	-	1,098,587
Bank balances	364,171	-	-	364,171
Term deposits	280,000	-	-	280,000
Total financial assets	1,500,293	242,465	-	1,742,758
Liabilities:				
Trade payables	566,464	-	-	566,464
Due to related companies	761,463	-	-	761,463
	1,327,927	-	-	1,327,927
Net liquidity position	172,366	242,465	-	414,831

Notes to the Financial Statements (continued)



32 FINANCIAL RISK MANAGEMENT (Continued)

Liquidity risk (continued)

GROUP (Continued)

	1-3 months Shs'000	3-12 months Sh'000	Over 1 year Sh'000	Total Sh'000
At 30 June 2011				
Financial assets:				
Trade receivables	587,727	-	-	587,727
Bank balances	708,687	-	-	708,687
Term deposits	349,500	-	-	349,500
Total financial assets	1,645,914	-	-	1,645,914
Liabilities:				
Trade payables	409,429	-	-	409,429
Due to related companies	819,863	-	7,434	827,297
	1,229,292	-	7,434	1,236,726
Net liquidity position	416,622	-	(7,434)	409,188

COMPANY

At 30 June 2012

Assets:

Due from subsidiary companies	13,477	-	-	13,477
Bank balances	1,805	-	-	1,805
Term deposits	280,000	-	-	280,000
Total financial assets	295,282	-	-	295,282

Liabilities:

Due to related company	142,757	-	-	142,757
Net liquidity position	152,525	-	-	152,525

Notes to the Financial Statements (continued)



32 FINANCIAL RISK MANAGEMENT (Continued)

Liquidity risk (continued)

	1-3 months Shs'000	3-12 months Sh'000	Over 1 year Sh'000	Total Sh'000
COMPANY				
At 30 June 2011				
Assets:				
Due from subsidiary companies	24,550	-	-	24,550
Bank balances	487	-	-	487
Term deposits	249,500	-	-	249,500
Total financial assets	274,537	-	-	274,537
	=====	=====	=====	=====
Liabilities:				
Due to related company	118,597	-	-	118,597
Net liquidity position	155,940	-	-	155,940
	=====	=====	=====	=====

The group has undrawn committed borrowing facilities amounting to Shs 100,000,000 (2011 – Shs 100,000,000). The borrowing facilities consist of loans and bank overdrafts. Security for these borrowings includes an all assets debenture for Shs 1.5 billion issued by a subsidiary company, corporate guarantees by group companies and legal charges over certain properties owned by subsidiary companies, and a property registered in the name of a group company. (See notes 11 and 12).

Market risk

(i) Interest rate risk

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. The group closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes.

As at 30 June 2012, the group had short term and fixed deposits with a carrying amount of Shs 280,000,000 (2011: Shs 349,200,000). An increase or decrease of 10 percent in the interest rate would result in an increase/decrease in pre-tax profit and total capital of Shs 4,816,000 (2011: Shs 1,955,520). The company had no other interest bearing financial assets and liabilities.

(ii) Price risk

Price risk arises from fluctuations in the prices of equity investments. At 30 June 2012 and 30 June 2011, the group did not hold investments that would be subject to price risk; hence this risk is not relevant.

Notes to the Financial Statements (continued)



32 FINANCIAL RISK MANAGEMENT (Continued)

Market risk (continued)

(iii) Foreign exchange risk

The group undertakes certain transactions denominated in foreign currencies. Exchange rate exposures are managed within parameters approved by the Board.

The carrying amounts of the group's foreign currency denominated monetary assets and liabilities at end of reporting period date are as follows:

	USD Shs'000	GBP Shs'000	EURO Shs'000
30 June 2012			
Assets			
Bank and cash balances	15,295	-	35,884
Trade receivables	20,734	-	-
	<u>36,029</u>	<u>-</u>	<u>35,884</u>
	=====	=====	=====
Liabilities			
Trade payables	130,786	-	2,612
Due to related companies	403,052	545	174,700
	<u>533,838</u>	<u>545</u>	<u>177,312</u>
	=====	=====	=====
30 June 2011			
Assets			
Bank and cash balances	69,611	-	33,610
	=====	=====	=====
Liabilities			
Trade payables	84,861	-	-
Due to related companies	637,133	142,483	377
	<u>721,994</u>	<u>142,483</u>	<u>377</u>
	=====	=====	=====

At 30 June 2012, if the Shilling had weakened/strengthened by 5% against the foreign currencies with all other variables held constant, the pre tax profit for the year and total capital would have been Shs 33,025,800 (2011: Shs 38,081,600) lower/higher, mainly as a result of translation of foreign currency denominated payables and bank balances.

Notes to the Financial Statements (continued)



32 FINANCIAL RISK MANAGEMENT (Continued)

Market risk (continued)

(iii) Foreign exchange risk *(continued)*

COMPANY

The company has no foreign currency denominated financial instruments and thus is not exposed to foreign exchange risks.

33 CAPITAL COMMITMENTS

	2012 Shs'000	2011 Shs'000
Commitments at the year end for which no provision has been made in these financial statements:		
GROUP		
Authorised and contracted for	23,885	-
Authorised but not contracted for	958,524	411,773
	<u>982,409</u>	<u>411,773</u>
	=====	=====

The bulk of the capital commitments relate to the acquisition of plant and machinery.

34 CONTINGENT LIABILITIES

	2012 Shs'000	2011 Shs'000
Guarantees	64,205	83,680
Bills and letters of credit	122,014	-
	<u>186,219</u>	<u>83,680</u>
	=====	=====

Several legal claims have been made against the group by former employees, mainly for wrongful dismissal or industrial accident claims. The cases are on-going and their likely outcomes are not known.

The directors, based on advice received from the group's legal advisors, believe no material liability will arise from these cases.

35 INCORPORATION

The company is domiciled and incorporated in Kenya under the Companies Act.

36 CURRENCY

The financial statements are presented in Kenya Shillings thousands (Shs'000).

Form of Proxy



I/We _____
of _____ being a member/members
of Unga Group Limited, hereby appoint _____
and failing him/her _____
whom failing, the duly appointed Chairman of the Meeting, as my/our proxy, to vote for me/us and on
my/our behalf at the Eighty Fifth Annual General meeting of the Company to be held on Wednesday, 5
December 2012 at 10.30 a.m. and at any adjournment thereof.

I authorise my proxy to vote as follows on the resolutions for the meeting:

Item No.	Yes	No
2		
4		
5		
6 (i)		
6 (ii)		
7		
8		
9		

As witness my/our hand this _____ day of _____ 2012

Signed

Signed

Notes

1. If you are unable to attend this meeting personally, this form should be completed and returned to the Secretary, Unga Group Limited, P O Box 30096, 00100 Nairobi, to reach her no later than 48 hours before the time appointed for the meeting.
2. A person appointed to act as a proxy need not also be a member of the Company.
3. If the appointer is a corporation, this form must be under its common seal or under the hand of an officer or an attorney duly authorised in writing.

CMA-LIBRARY

FOLD 2



The Secretary
UNGA GROUP LIMITED
P.O. Box 30096
00100 GPO
NAIROBI

FOLD 1

FOLD 3